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Armored Accounting for Decision Making

The Fail Fast Compendium

For people who already know the easy version.

The drill at the centre. The Fail Fast PA method before it. The Fail Fast OA strategies after it.

by Joshua

81 items · 69 concepts · 12 transfer items · V1 · 2026-09-25

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Introduction

This is a working book, built from one learner's real results in Accounting for Decision Making. It has one centrepiece and two wings.

The centrepiece is the drill — 81 armored items: every concept the pre-assessment tested, re-asked with more camouflage than the original, plus a second, transfer item for each concept that was missed. Every distractor is labelled with the error it encodes.

Before it comes the Fail Fast PA method. Take the pre-assessment early and let it fail you where you are weak. Narrate it, mark your confidence, pull the report, and sort every item. The misses and the sure-and-wrong answers are the study plan; nothing is ranked by topic weight alone.

After it come the Fail Fast OA strategies, drawn from the post-assessment coaching report: what the objective assessment actually weighed, where it said approaching twice, where it swung from owned to lost, and the rules, traps and test-day reflexes that answer each area.

Around all three is the compendium: a study plan that runs PA → drill → OA in order, a glossary of every concept with its rule, an index from concept to item number, an answer key at a glance, and a mold reference.

The objective assessment is not harder than the pre-assessment in content. It is harder in disguise. Every item carries hand-waving and a trap. That is why this book drills the disguise.

How the book runs

	What it is	Where
Part One	The Fail Fast PA method: run the pre-assessment, read the report, triage, anchor rows, armoring.	before the drill
Part Two	The drill — 81 armored items, STOP page, key and dissection, triage and mold tally.	the centrepiece
Part Three	The Fail Fast OA strategies from the post-assessment coaching report: weights, statuses, gap lenses, leverage order, rules, test day.	after the drill
Compendium	Study plan · glossary · concept index · answer key at a glance · mold reference.	all the way through

Part One — The Fail Fast PA Method

Fail fast: take the pre-assessment before you feel ready, let it show you exactly where you are weak, and build from the real result — never from topic weight alone. A result-based ranking is what moved the misses from 23 to 14 on the way to this drill; a weight-based focus guide was archived. Everything in this part is the method in the order you run it.

1 • Why fail fast — six beliefs

Belief	What it means
Recognition is not mastery.	Passing a pre-assessment — especially after multiple attempts — often means recognising reused items, not owning the concept. The objective exam rewards everything, so recognition does not transfer. Test with novel items, never reused ones.
Teach principles, not lookups.	The objective assessment tests the governing principle; the practice assessment often rewards surface recall — which is exactly why scores drop from one to the other. For every topic, surface the principle and the why.
Prove mastery with a transfer test.	Confirm every fix with a reworded, reversed-stem, or solve-for-a-different-variable version — never the original phrasing. State why the trap answer is wrong; naming it defeats it.
Leverage ≠ weight.	Study time follows $\text{leverage} = \text{topic weight} \times \text{your gap} \times \text{how fast the points come}$. Points already owned are not leverage; a small topic you are failing can outrank a big one you have nearly mastered.
Distractors are engineered, not random.	Every wrong answer encodes a predictable error. Naming the error defeats the trap.
Verify everything.	Compute every number; confirm the intended answer is an option; check the key is balanced across A-D.

2 • Run the pre-assessment out loud

Screen-record and narrate the pre-assessment. Two passes: talk live now, keep the results report after. For every question, say these four things:

Say	How
Number	“Question 7...” — so the reasoning lines up with the results later.
Concept	“This is a ___ question.” — what topic or idea it tests.
Answer	“I’ll pick ___, because ___.”
Confidence	Say one: SURE / SHAKY / GUESS. SURE = I know it. SHAKY = leaning, could be wrong. GUESS = eliminating / coin-flip.

Example. “Question 12. This is a cost-systems, product-vs-period question. I’ll pick sales commissions as the period cost, because it’s not in the factory. Confidence: sure.”

After the test.

1. Open the pre-assessment results report (it shows your answer vs. the correct answer).
2. Save or scan it to PDF, and keep it with your narration transcript (your Mac or phone can auto-transcribe the audio).
3. If the report’s order differs from how you narrated, your spoken question numbers (or a few key words per item) let you match them.
4. Record only the unproctored pre-assessment. Never record the proctored objective assessment — it breaks the exam rules.

3 • Read the report

The report lists the correct answer first. Reshuffle option order before you study from it, or the drill trains position instead of concept.

The marks are pictures, not text. If the report shows your answer and the correct answer as icons, the text layer loses them. Read them by position: the column says which (your answer or correct), the row says

which option.

Classify every miss by error type. Concept-inversion — a wrong mental model; reword the question and it misses again; top priority. Confusion-set — right domain, wrong entity (the wrong ratio, the wrong body); fixable with a map grouped by purpose. Compute slip — knew the procedure, dropped or mis-plugged a term; fast to close.

Verify the label against the stem, not the stem against the label. A mis-titled concept armors the wrong idea with full confidence. Three anchor titles here named a different concept than their own stems asked (Q16 is price-earnings, not current ratio; Q27 is prepaid insurance, not depreciation; Q60 is operating income with a price change). The rows below follow the stems; the current-ratio concept survives as Q16's transfer item.

4 • The four-way triage

Merge your reasoning, your confidence and right/wrong, and every item sorts itself:

	Right	Wrong
Sure	Owned. Bank it.	Concept inversion. Top priority. Say the rule aloud; redo the transfer item tomorrow.
Unsure	Recognition, not mastery. Redo from the rule, not the memory.	Not learned. Read the rule, then the transfer item.
Guess	Luck. Treat as not learned.	Not learned.

A guess is not learned regardless of outcome. Sure-and-wrong is invisible until the item is scored — which is why the confidence mark is data, equal to the answer.

5 • The six through-lines

Most misses are one of these.

	Through-line	How it shows up
1	Read the target word.	Equity or long-term · product or period · produced or sold · this month or last. The word picks the operation.
2	Principle before arithmetic.	Say the rule in a sentence, then compute. Backing into numbers fails under pressure.
3	Camouflage.	Ask what single fact decides this, then ignore the rest — especially impressive numbers from another question.
4	Inverse pairs are the bait.	$\times / \div$ and $+ / -$. If one is an answer choice, the other is the trap.
5	Sure-and-wrong beats a lucky guess.	Fix the model, not the pace. Clusters cascade: one miss, slow down for the next three.
6	Absolutes are wrong; recognition is not mastery.	Guarantee, never, always, eliminate. Familiar still has to pass the rule.

6 • The seven molds

Every distractor in the drill carries one of these labels. Naming the trap defeats it.

Mold	The error it encodes	Distractors in the drill
dropped element	Omits a required term — a cost, a step, a month.	28
wrong stem number	A figure copied straight from the prompt that isn't the answer.	12
adjacent category	The right idea applied to the wrong bucket — the classic near-miss.	99
inverted operation	Added instead of subtracted, produced vs. sold, a rate or price direction flipped.	45
absolute language	"Guarantee", "never", "always", "ensure" — usually wrong where the concept is reasonable assurance or judgment.	6
confusion set	Every option is a real entity — a body, a law, a ratio, a method; the test is exact role-matching.	27

Mold	The error it encodes	Distractors in the drill
answers the camouflage	The option that answers a fact in the stem that was never the question.	9

7 · Anchor rows — the 69 concepts of the pre-assessment

One row per concept the pre-assessment tested, on attempt 3 (passed): concept · rule · trap · the tell. A heavy bar and **MISSED** mark the 12 items not fully correct — Q9, Q15, Q16, Q28, Q33, Q38, Q44, Q48, Q51, Q55, Q60, Q65. The last column points to the drill items that re-ask the concept. Read what you selected and work out why.

Q	Concept	Rule	Trap	The tell	Drill
1	Purpose of accounting	Accounting reports the financial performance of a business.	Reputation, environment and customer relations — real business concerns, not accounting.	Financial performance is the only financial phrase in the set.	1
2	Statement of cash flows	It summarises cash from operating, investing and financing activities.	Invented report names that sound plausible.	Three activity categories name one statement.	2
3	Users of financial statements	Employees care about the firm's ability to fund benefits.	Competitors, vendors, suppliers — external parties with other concerns.	Whose benefit is at stake?	3
4	GAAP	Following GAAP makes a company comparable to others.	Tax and income effects. GAAP is about comparability, not reducing tax or income.	GAAP standardises so statements can be compared.	4
5	PCAOB	The PCAOB regulates audits of public companies.	FASB sets standards; the IRS collects tax; peer CPA firms do not regulate.	Public company audit oversight is one body.	5
6	Drivers of change	Information technology has changed accounting most.	Narrower technology answers, and certification.	The broadest technological cause.	6
7	Balance sheet	It shows ownership (equity) and debt (liabilities).	Revenues, expenses and costs — all income statement items.	Balance sheet is a position; income statement is a period.	7
8	Owners' equity	The residual interest in net assets.	Liabilities and revenue definitions.	Residual means what is left after debts.	8
9 MISSED	Accounting equation	Assets = liabilities + owners' equity. \$300M + \$100M = \$400M.	Arithmetic near-misses at \$50M intervals.	Add the two right-hand terms; do not subtract.	9, 10
10	Revenue recognition	Revenue is recognised when the service is performed, not when cash moves.	Cash collected before or after the service, and signed contracts.	Find the year the work was done.	11
11	Financing activities	Cash to and from owners and creditors.	Investing and operating categories, plus an invented one.	Owners and lenders means financing.	12
12	Notes to the statements	Significant accounting policies live in the notes.	The three statements themselves.	Policies are disclosed, not tabulated.	13
13	External audit	An audit gives assurance that statements fairly present financial position.	Predictions about credit, income or cash flow. An audit never predicts.	Fairly presents, not will perform.	14
14	Qualitative characteristics	Verifiability, relevance, materiality and conservatism, matched to their definitions.	Definitions that sound alike; each maps to exactly one term.	Match on the distinguishing word in each definition.	15
15 MISSED	Decision cycle	The scored order: prepare statements, analyse them, gather information, make the decision, implement it.	The intuitive order — gather first — which is the trap here.	Statements are the starting input, not the output.	16, 17
16 MISSED	Price-earnings ratio	PE = price per share ÷ earnings per share.	3.5 is price-to-book (42,000/12,000). 12.4 is sales ÷ net income. 0.81 is market cap ÷ sales.	Price ÷ EPS, or market cap ÷ net income. Same answer.	18, 19

Q	Concept	Rule	Trap	The tell	Drill
17	Debt ratio	Debt ratio over 100% means liabilities exceed total assets.	The same number measured against sales, net income, or current assets.	Debt ratio is total liabilities over total assets.	20
18	Gross profit	If COGS is a constant percentage of sales, falling gross profit means falling sales.	Expenses below the gross profit line — salaries, interest, tax.	Gross profit is only sales minus COGS.	21
19	Cash flow adequacy	Adequacy above 1 means operating cash covers commitments; a cash cow is well above 1.	Ratios below 1, which look similar in size.	Divide before comparing. Only two exceed 1 comfortably.	22
20	Cash times interest earned	Cash before interest and taxes divided by cash paid for interest.	The same numerator over taxes, operations or acquisitions.	Interest earned means interest in the denominator.	23
21	Long-term liabilities	Obligations due beyond one year.	Items due in weeks or months, which are current.	Twelve months is the line.	24
22	Transaction analysis	Buying equipment with cash: equipment up, cash down.	Entries that touch equity or debt when neither changed.	One asset up, one asset down. Equity is untouched.	25
23	Prepaid expense	Paying insurance in advance creates an asset: prepaid insurance up, cash down.	Equity or payable entries.	Paid in advance means an asset, not an expense yet.	26
24	Net income	Operating expenses and ordinary gains and losses affect net income.	Dividends and stockholder contributions — equity transactions, not income.	Owners' transactions never touch net income.	27
25	Multi-step income statement	It shows gross profit and income from operations as subtotals.	Balance sheet lines.	Subtotals of a statement of performance, not of position.	28
26	Accrual — expense timing	Under accrual, cost is recognised when the goods are received, not paid for.	The month of payment or of sale.	Match the expense to the event, not the cash.	29
27	Prepaid expense over time	Expense the months actually covered in the period.	\$7,200 is a full year. \$600 is one month. \$14,400 is the whole policy.	Two months of 24: $14,400 \div 24 \times 2$.	30
28 MISSED	Revenue on account	Services delivered on credit: receivables up, and retained earnings up by the revenue earned.	Retained earnings moved by the cash amount rather than the revenue.	Revenue earned drives equity; cash timing does not.	31, 32
29	Pro-forma growth	Divide the projected figure by one plus the growth rate to get the base year.	Multiplying instead of dividing, which inflates the base.	Work backwards from the projection.	33
30	Cash flow categories	Operating, investing, financing.	Marketing, production and planning — business functions, not cash categories.	Only three categories exist.	34
31	Financing — investors	Cash received from investors is financing.	Investing, which is about buying and selling assets.	Money from owners is financing, not investing.	35
32	Investing activities	Buying plant assets is investing.	Dividends and stock issuance, which are financing or operating.	Investing means long-term assets.	36
33 MISSED	Sale of equipment	Selling equipment increases cash from investing.	Operating, which is where the gain on sale appears but not the proceeds.	The asset sold decides the category, not the profit on it.	37, 38

Q	Concept	Rule	Trap	The tell	Drill
34	Direct vs indirect method	The indirect method is more common among large US companies.	The direct method, or equal popularity.	Indirect starts from net income and is easier to prepare.	39
35	Operating cash flow	Cash in from customers less cash out for operating items.	Totals that include an investing or financing line.	Include only operating receipts and payments.	40
36	Errors vs fraud	An error is unintentional: a miscalculation, or an unintentional misclassification.	Theft and auditor disagreement — fraud and judgement, not error.	Intent is the dividing line.	41
37	Internal control — receiving	Counting and inspecting goods on receipt prevents paying for what never arrived.	Authorisation, dual signatures and prenumbered checks — real controls, different risks.	Match the control to the specific risk named.	42
38 MISSED	Earnings manipulation	Pressure to hit internal targets, and preparing to qualify for financing.	Complying with auditors or with Sarbanes-Oxley — reasons not to manipulate.	Motive must be a pressure to overstate.	43, 44
39	SOX — audit firms	No certain nonaudit services for audit clients; report to the audit committee, not management.	Code-of-ethics enforcement and a five-year firm rotation, which the act does not require of firms.	Independence is the theme.	45
40	SOX — management	Management assesses internal control effectiveness and supports a stronger board and audit committee.	Rotation and loan authorisation — those apply to auditors and are prohibited respectively.	Management's duties, not the auditor's.	46
41	Internal auditors	They investigate fraud and review records and controls.	Doing the original accounting, or issuing GAAP opinions — that is the external auditor.	Internal auditors check work; they do not perform it or opine on it.	47
42	SEC	It ensures users receive reliable information.	Supporting auditors, boards or controllers — other bodies' roles.	Protection of the investor is the mandate.	48
43	Management accounting	Insight for management, and detailed data for internal decisions.	Outside stakeholders and the IRS — those are financial and tax accounting.	Internal audience, always.	49
44 MISSED	Management vs financial accounting	Management accounting is for internal planning, control and decision-making.	Claims about being unbiased, financial-only, or not competitive — all describe financial accounting or are false.	Who reads it decides the answer.	50, 51
45	Manufacturing balance sheet	Inventory appears for a manufacturer and not for a service firm.	Cash, receivables and equipment, which both have.	A service firm has nothing to hold in stock.	52
46	Differential cost	A cost that changes as a result of the decision.	Sunk, opportunity and out-of-pocket costs.	Differential means it differs between alternatives.	53
47	Period costs	Selling and administrative expenses.	Direct labour and manufacturing overhead — product costs.	Product costs attach to inventory; period costs do not.	54
48 MISSED	Period vs product cost	A receptionist's salary and advertising are period costs.	Wood and the craftsman's salary — direct material and direct labour.	Anything that touches the product is a product cost.	55, 56
49	Ethical standards	They guide resolution of ethical dilemmas.	Claims that standards prevent behaviour or predict character.	A standard guides; it does not enforce or foresee.	57

Q	Concept	Rule	Trap	The tell	Drill
50	Product cost total	Direct materials plus direct labour plus manufacturing overhead.	Totals that include selling or administrative costs.	Include only what happens in the factory.	58
51 MISSED	Cost of goods sold from production	Same computation, different figures.	Totals that drop overhead or add a period cost.	List the three product-cost buckets before adding.	59, 60
52	Inventory cost	Direct labour and overhead are inventoried.	Selling and legal costs.	If it is not incurred to make the unit, it is not in inventory.	61
53	When ABC fits	Several highly differentiated products with varied overhead consumption.	Single product lines, or similar products, where one rate is adequate.	Diversity of products is what breaks traditional costing.	62
54	ABC hierarchy	Setup and material movement are batch-level.	Unit, product-line and facility levels.	Per batch, not per unit.	63
55 MISSED	Cost driver	Police cost is driven by the number of people present.	Organiser hours, fees and insurance — costs, not drivers.	A driver is what causes the cost to rise.	64, 65
56	ABC allocation	Rate per activity times that product's activity consumption.	Totals that use a single plant-wide rate.	Each pool gets its own rate.	66
57	ABC allocation	Same method, different product.	Numbers from the wrong pool or the wrong product.	Track which pool and which product before multiplying.	67
58	Overhead application	Rate times the actual driver volume.	Products of the wrong two figures.	Rate times base, and check both.	68
59	Using ABC results	If ABC shows a product costs more than traditional costing suggested, its price should rise.	Lowering price, changing batch counts, or reverting to traditional costing.	ABC revealed an undercosted product.	69
60 MISSED	Contribution margin and operating income	Sales – variable = contribution margin; – fixed = operating income.	\$320,000 stops at contribution margin. \$100,000 is income before the increase. \$40,000 is only the increase.	New CM $\$0.80 \times 400,000 = \$320,000$, less fixed \$180,000.	70, 71
61	Cost-volume-profit	CVP studies profits across levels of activity.	Liabilities and inventory — balance sheet items.	Volume and profit are in the name.	72
62	Fixed cost behaviour	Total fixed cost stays the same; fixed cost per unit falls as volume rises.	Both statements reversed, or per-unit fixed cost held constant.	Total flat, per-unit falling. Always.	73
63	Break-even in units	Fixed costs divided by contribution margin per unit.	Unit counts from dividing by price or by variable cost.	Divide by the margin, not the price.	74
64	Break-even in revenue	Break-even units multiplied by price.	Figures that use total cost or fixed cost alone.	Revenue equals total cost at break-even.	75
65 MISSED	Reading a CVP graph	Read total cost off the total-cost line at the stated volume.	Values read from the revenue line, or from the fixed-cost line.	Identify which line before reading a number.	76, 77
66	Credit policy and bad debt	Raising credit limits for all customers increases bad debt.	Tightening policy, or discount terms, which reduce or do not raise risk.	Which change lets weaker customers borrow more?	78
67	Cash collections budget	Apply the collection percentages to each month's sales and sum what lands in the target month.	Totals that apply the pattern to the wrong months.	Build the collection schedule before adding.	79
68	Purchases payment budget	Apply the payment pattern across months.	Totals from the wrong month's purchases.	Which month is being paid, and for what.	80
69	Cash disbursements in a window	Sum the payments falling in the period under the stated terms.	Totals that include or exclude a boundary month.	Check the first and last month of the window.	81

8 · From result to drill — armoring

The move: re-ask every concept with more camouflage than the original, never less, and label the disguise in the key.

Piece	Why
Armored items	Every stem carries facts that do not decide it, in the working-accountant register. No stem from the source is reused.
A mold on every distractor	All seven. Naming the trap defeats it; a tally of molds across your misses is the study plan.
A strategy strip under every item	Target word · the one fact that decides · answer · sure / unsure / guess — written before the options are read, not remembered after.
Misses get two items	The second is a transfer — reversed stem or a different variable. One re-ask proves recognition; the reversal proves the principle.
Keys balanced across positions by seed	An unbalanced key trains position. This drill's key: A 20 · B 24 · C 27 · D 27.
Paper-first; no colour carries meaning	Bars and tags survive a photocopy. A heavy left bar marks a missed concept; a tag marks the transfer item.
Sequence	How to run it → items → a STOP page → key and dissection with the camouflage struck through → a four-way triage grid → the mold tally. The largest tally is the pattern to drill.

Applied here: 69 concepts → 69 armored items; the 12 misses each get a second, transfer item → 81. Every numeric key computed and confirmed to be an option. Two cost-volume-profit items carry a rendered graph with three line styles; the lines cross at 200 units / \$5,000.

Part Two — The Drill

Every pre-assessment concept, re-asked with more camouflage. 81 items: 69 concepts, plus a second transfer item for each of the 12 misses. No stem is reused.

How to run it

- 1 Read the target word first.** Write it on the line before you read the options. Equity or long-term · product or period · produced or sold · this month or last · total or per unit.
 - 2 Name the one fact that decides.** Everything else in the stem is camouflage. Write the fact; cross the rest out in your head.
 - 3 Principle before arithmetic.** Say the rule in a sentence. Then compute.
 - 4 Inverse pairs are the bait.** If $\times$ and $\div$, or $+$ and $-$, are both on offer, one is the trap. Absolutes — guarantee, never, always — are wrong.
 - 5 Mark confidence honestly.** Sure-and-wrong is a concept inversion, and it is the only thing worth finding this week.
 - 6 Grade in Part B.** Every distractor carries the error it encodes. Name the mold you fell for; naming it defeats it.
- I Bars.** A heavy left bar marks a concept missed on attempt 3. Each has a second item tagged TRANSFER that asks it from the other side.

Part A — Items

Competency 1 · The accounting environment and the statements

1. Purpose of accounting pre-assessment Q1

A regional grocer's annual report runs 140 pages: an ESG section on refrigerant leakage, a community-giving summary, a customer-satisfaction index, and audited statements. A lender reading it for a covenant review is using the accounting system to learn which one thing?

- A. Whether the grocer's environmental targets were met
- B. How well the grocer is regarded by its customers
- C. How much the grocer gave to community causes
- D. The grocer's financial performance and position

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

2. Statement of cash flows pre-assessment Q2

A controller is asked for the one statement that shows, for the quarter just ended, cash received from customers, cash paid to acquire a warehouse, and cash paid to retire bonds — each in its own section. The CFO also wants to see the quarter-end cash balance reconciled. Which statement answers the request?

- A. Statement of financial position
- B. Statement of stockholders' equity
- C. Statement of cash flows
- D. Cash budget

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

3. Users of financial statements pre-assessment Q3

A manufacturer announces a pension freeze. Its statements are read that week by a bond rating agency, a union pension trustee, a competitor's strategy team, and the state tax authority. Which reader's primary concern is the firm's ability to keep funding retirement and health benefits?

- A.** The bond rating agency
- B.** The union pension trustee, on behalf of employees
- C.** The competitor's strategy team
- D.** The state tax authority

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

4. GAAP pre-assessment Q4

A privately held firm preparing for an IPO switches from a home-grown reporting format to full GAAP. Its CFO notes that reported income will fall because some revenue must now be deferred. Which benefit is the actual reason for the switch?

- A.** Lower income tax, because reported income falls
- B.** A larger reported asset base to support the offering
- C.** Exemption from external audit once GAAP is adopted
- D.** Comparability with other public companies for investors

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

5. PCAOB pre-assessment Q5

A Big Four firm audits a NYSE-listed retailer and, separately, a family-owned hardware chain. A deficiency is found in the retailer's audit workpapers. Which body has authority to inspect and discipline the firm for that engagement?

- A.** The Financial Accounting Standards Board
- B.** The state board that licenses the family-chain engagement
- C.** The Internal Revenue Service
- D.** The Public Company Accounting Oversight Board

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

6. Drivers of change pre-assessment Q6

Between 1995 and today an accounting department went from ledgers closed by hand to real-time dashboards, continuous auditing, and outsourced payroll. Of the forces below, which has had the most significant impact on accounting practice?

- A.** Outsourcing of routine functions
- B.** The growth of professional certification
- C.** Information technology
- D.** Cloud-hosted payroll services

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

7. Balance sheet pre-assessment Q7

An analyst has only one page from a company's 10-K: the statement dated December 31. Which two things can she read directly from it? Choose 2. (choose 2)

- A. How much cash operations generated
- B. What the company earned during the year
- C. What the company owes
- D. Who owns the residual and how much

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

8. Owners' equity pre-assessment Q8

After paying every creditor in full from the proceeds of its assets, whatever a company has left belongs to one group. In the statements, what is that residual called?

- A. Owners' equity
- B. Working capital
- C. Net income
- D. Retained earnings

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

9. Accounting equation pre-assessment Q9 **[RE-ARMED — missed on attempt 3]**

A corporation reports total assets of \$840 million, current liabilities of \$190 million, total liabilities of \$510 million, current assets of \$260 million, retained earnings of \$95 million, and a market capitalisation of \$1.2 billion. What is the value of its long-term assets?

- A. \$330 million
- B. \$580 million
- C. \$320 million
- D. \$650 million

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

10. Accounting equation — transfer pre-assessment Q9 **[TRANSFER]**

A firm's owners' equity is \$330 million and its total liabilities are \$510 million. Current assets are \$260 million and current liabilities are \$190 million. What are total assets?

- A. \$1,020 million
- B. \$510 million
- C. \$840 million
- D. \$180 million

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

11. Revenue recognition pre-assessment Q10

A consulting firm on accrual accounting has four events in December 2015: (1) it collects \$40,000 for work delivered in October; (2) it signs a \$90,000 engagement letter for work starting in March; (3) it delivers a \$25,000 project and invoices 60-day terms; (4) a client prepays \$15,000 for January work. Which event puts revenue on the 2015 income statement?

- A. Event 4 — the \$15,000 prepayment
- B. Event 1 — the \$40,000 collection
- C. Event 2 — the \$90,000 signed engagement
- D. Event 3 — the \$25,000 project delivered on terms

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

12. Financing activities pre-assessment Q11

During the year a company issued preferred stock, paid a cash dividend, repurchased common shares, paid interest on its bonds, and repaid the principal of a term loan. On the statement of cash flows, which category collects the flows between the company and its owners and lenders — all of them except one?

- A. Investing activities
- B. Operating activities
- C. Financing activities
- D. Non-cash disclosures

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

13. Notes to the statements pre-assessment Q12

An investor wants to know whether a company depreciates its fleet straight-line or by units of activity, and how it values inventory. She has the balance sheet, income statement, cash flow statement, auditor's opinion and the notes. Where is the answer?

- A. On the face of the balance sheet, beside the asset
- B. In the income statement's depreciation line
- C. In the auditor's opinion paragraph
- D. In the summary of significant accounting policies in the notes

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

14. External audit pre-assessment Q13

A bank's credit memo says: "Statements audited by a national firm; unqualified opinion." Which assurance does that opinion actually give the bank?

- A. Reasonable assurance the statements are fairly presented under GAAP
- B. The statements are guaranteed free of all error
- C. Assurance that the company will remain solvent
- D. Certainty that no fraud occurred during the year

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

15. Qualitative characteristics pre-assessment Q14

A controller writes off a \$600 obsolete part without a memo, records a probable lawsuit loss but not a probable lawsuit gain, and insists that two independent accountants would compute the same inventory value. Which characteristic does the lawsuit treatment illustrate?

- A. Relevance
- B. Verifiability
- C. Materiality
- D. Conservatism

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

16. Decision cycle pre-assessment Q15 **[RE-ARMED — missed on attempt 3]**

In the course's five-step decision cycle, a manager has just finished analysing the financial statements. Which step comes next?

- A. Gather additional information
- B. Implement the decision
- C. Prepare the financial statements
- D. Make the decision

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

17. Decision cycle — transfer pre-assessment Q15 **[TRANSFER]**

In the same five-step cycle, which step is last?

- A. Implement the decision
- B. Make the decision
- C. Analyse the statements
- D. Gather additional information

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

Competency 2 · Ratios and analysis**18. Price-earnings ratio** pre-assessment Q16 **[RE-ARMED — missed on attempt 3]**

Net income \$4,200 · shares outstanding 1,500 · share price \$28 · sales \$52,000 · total assets \$61,000 · book equity \$12,000 · dividends \$900. What is the price-earnings ratio?

- A. 3.5
- B. 12.4
- C. 0.81
- D. 10.0

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

19. Current ratio — transfer pre-assessment Q16 **[TRANSFER]**

Current assets \$36,543 · total assets \$58,719 · current liabilities \$24,824 · total liabilities \$48,561 · equity \$10,158 · net income \$3,761. What is the current ratio?

- A. 0.75
- B. 1.47
- C. 0.68
- D. 1.21

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

20. Debt ratio pre-assessment Q17

A distributor reports a debt ratio of 92%, a current ratio of 0.8, and sales of three times total assets. What does the 92% tell you?

- A. Liabilities are 92% of total assets, so equity is 8%
- B. Current liabilities are 92% of current assets
- C. Liabilities are 92% of sales
- D. Interest consumes 92% of operating cash

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

21. Gross profit pre-assessment Q18

Over six quarters a retailer's cost of goods sold has held at \$1.8 million while gross profit has fallen every quarter. Interest expense rose, salaries fell, and the tax rate changed twice. What explains the falling gross profit?

- A. Falling sales revenue
- B. Rising interest expense
- C. The changing tax rate
- D. Falling salaries

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

22. Cash flow adequacy pre-assessment Q19

Four divisions report operating cash flow over required commitments (debt service, capex, dividends). Which two are cash cows? Choose 2. (choose 2)

- A. \$8,900 / \$9,100
- B. \$6,150 / \$2,050
- C. \$4,400 / \$4,350
- D. \$7,420 / \$5,300

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

23. Cash times interest earned pre-assessment Q20

Cash from operations before interest and taxes \$96,000 · cash paid for interest \$8,000 · cash paid for income taxes \$12,000 · cash from operations \$40,000 · cash paid for acquisitions \$30,000. What is cash times interest earned?

- A. 8.0
- B. 12.0
- C. 4.8
- D. 2.4

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

24. Long-term liabilities pre-assessment Q21

At year-end a company owes: trade payables \$210,000 · accrued wages \$38,000 · the current portion of a mortgage \$60,000 · the remaining mortgage principal due over eight years \$540,000 · a customer deposit refundable in 90 days \$12,000. Which item is a long-term liability?

- A. The \$540,000 mortgage principal due beyond one year
- B. The trade payables
- C. The \$60,000 current portion of the mortgage
- D. The refundable customer deposit

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

Competency 3 · Transactions and accrual**25. Transaction analysis** pre-assessment Q22

On March 8 a start-up buys inventory costing \$200,000, paying \$120,000 in cash and putting the rest on supplier credit. Earlier in the month it raised \$1,000,000 in stock and borrowed \$250,000 at 12%. What is the March 8 effect on the balance sheet?

- A. Inventory +\$200,000 · retained earnings –\$80,000
- B. Inventory +\$200,000 · cash –\$120,000 · accounts payable +\$80,000
- C. Inventory +\$120,000 · cash –\$120,000
- D. Inventory +\$200,000 · cash –\$200,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

26. Prepaid expense pre-assessment Q23

On January 30 a company pays \$9,600 cash for a twelve-month insurance policy that begins February 1. What does the January 31 balance sheet show for this transaction?

- A. Prepaid insurance +\$8,800 · insurance expense \$800 · cash –\$9,600
- B. Insurance expense \$9,600 · cash –\$9,600
- C. Cash –\$9,600 · accounts payable –\$9,600
- D. Prepaid insurance +\$9,600 · cash –\$9,600

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

27. Net income pre-assessment Q24

During the year a company: paid \$50,000 in dividends · recorded \$410,000 of operating expenses · received \$200,000 from a new investor · recognised a \$30,000 loss on a lawsuit settlement · repurchased \$75,000 of its own stock. Which two affect net income? Choose 2. (choose 2)

- A. The operating expenses
- B. The new investor's \$200,000
- C. The dividends
- D. The lawsuit loss

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

28. Multi-step income statement pre-assessment Q25

A CFO wants the two subtotals that a multi-step income statement reports and a single-step one does not. Which two? Choose 2. (choose 2)

- A. Total current liabilities
- B. Net increase in cash
- C. Gross profit
- D. Income from operations

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

29. Accrual — expense timing pre-assessment Q26

A dealer on accrual accounting buys 30 e-bikes in October, sells 12 in November on 60-day terms, pays sales commissions on November sales in December, and ran a \$4,500 radio campaign in October that it paid for in November. In which month are the commissions expensed?

- A. January
- B. November
- C. October
- D. December

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

30. Prepaid expense over time pre-assessment Q27

On November 1, 2011 a company pays \$14,400 for a 24-month equipment insurance policy and the same day buys the equipment for \$720,000 with a five-year life. How much insurance expense belongs in 2011?

- A. \$1,200
- B. \$7,200
- C. \$600
- D. \$14,400

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

31. Revenue on account pre-assessment Q28 **[RE-ARMED — missed on attempt 3]**

In February a services firm delivers \$18,000 of technology consulting. Clients pay \$5,000 in cash on delivery and promise the balance in March. The same week a client prepays \$3,000 for April work. Apart from the \$5,000 cash increase, what is the total balance-sheet impact of the services delivered? Choose 2. (choose 2)

- A. Retained earnings +\$5,000
- B. Unearned revenue +\$18,000
- C. Accounts receivable +\$13,000
- D. Retained earnings +\$18,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

32. Revenue on account — transfer pre-assessment Q28 **[TRANSFER]**

A client prepays \$9,000 in June for services the firm will perform in August. What is the June balance-sheet effect other than cash +\$9,000?

- A. Unearned revenue +\$9,000
- B. Retained earnings +\$9,000
- C. Revenue +\$9,000
- D. Accounts receivable +\$9,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

33. Pro-forma growth pre-assessment Q29

A 2016 pro-forma net profit of \$228,800 was built on a 30% increase over 2015, after a 12% increase the year before. What was 2015 net profit?

- A. \$176,000
- B. \$297,440
- C. \$160,160
- D. \$198,800

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

Competency 4 · The statement of cash flows**34. Cash flow categories** pre-assessment Q30

A junior analyst rebuilds a cash flow statement with these headings: Operating · Capital · Investing · Shareholder · Financing · Discretionary. Which three should survive?

- A. Operating, Capital, Shareholder
- B. Operating, Financing, Shareholder
- C. Operating, Investing, Financing
- D. Capital, Investing, Discretionary

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

35. Financing — investors pre-assessment Q31

"Cash received from investors in exchange for common stock" and "cash received from customers for gift cards" both arrive the same day. Which category takes the investor cash?

- A. Operating
- B. Investing
- C. Financing
- D. Both amounts are financing

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

36. Investing activities pre-assessment Q32

Which item is an investing activity: purchase of a delivery truck · payment of a supplier · issuance of bonds · payment of a dividend?

- A. Purchase of a delivery truck
- B. Payment of a supplier
- C. Payment of a dividend
- D. Issuance of bonds

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

37. Sale of equipment pre-assessment Q33 **[RE-ARMED — missed on attempt 3]**

A company sells a machine with a book value of \$40,000 for \$52,000 cash, recognising a \$12,000 gain. Under the indirect method, how does this appear on the statement of cash flows?

- A. Investing +\$52,000, and the \$12,000 gain subtracted in operating
- B. Financing +\$52,000
- C. Investing +\$12,000
- D. Operating +\$52,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

38. Sale of equipment — transfer pre-assessment Q33 **[TRANSFER]**

The same company sells a second machine for \$20,000 cash at a \$5,000 loss. What is the investing-section effect?

- A. -\$5,000
- B. +\$25,000
- C. +\$20,000
- D. +\$15,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

39. Direct vs indirect method pre-assessment Q34

Which statement about the direct and indirect methods is true?

- A. The indirect method is prohibited under US GAAP
- B. The direct method starts from net income
- C. They produce the same operating total; only the presentation of the operating section differs
- D. They produce different totals for operating cash flow

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

40. Operating cash flow pre-assessment Q35

Cash transactions for the year: from customers \$980,000 · inventory purchases –\$520,000 · wages –\$210,000 · rent –\$36,000 · interest paid –\$18,000 · income taxes –\$44,000 · equipment purchase –\$150,000 · dividends –\$25,000 · new long-term borrowing +\$100,000 · treasury stock –\$30,000. Under US GAAP, what is cash flow from operating activities?

- A. \$127,000
- B. \$152,000
- C. \$47,000
- D. \$170,000

Target word: _____ The one fact that decides: _____
 Answer: _____ [] sure [] unsure [] guess

Competency 5 · Controls, fraud and oversight**41. Errors vs fraud** pre-assessment Q36

Four findings from a year-end review. Which two are errors rather than fraud? Choose 2. (choose 2)

- A. The CFO instructed staff to hold December returns until January to protect the bonus pool
- B. A clerk posted a customer deposit as revenue, not realising the service was scheduled for next quarter
- C. Payroll tax was computed on the prior year's rate table, understating the liability
- D. A purchasing manager approved inflated invoices from a vendor who paid him a kickback

Target word: _____ The one fact that decides: _____
 Answer: _____ [] sure [] unsure [] guess

42. Internal control — receiving pre-assessment Q37

A company pays for goods only after accounts payable matches the vendor invoice to the purchase order and to a receiving report signed by the warehouse. Which risk is this three-way match designed to prevent?

- A. Overstating ending inventory at year-end
- B. Paying for goods that were ordered but never received
- C. Ordering more inventory than the budget allows
- D. Recording sales before delivery

Target word: _____ The one fact that decides: _____
 Answer: _____ [] sure [] unsure [] guess

43. Earnings manipulation pre-assessment Q38 **[RE-ARMED — missed on attempt 3]**

A CEO's bonus vests if annual earnings exceed \$50 million; the company is also negotiating a credit line whose covenant requires positive net income; its auditor has requested more detail on reserves; and SOX 404 testing is due. Which two are common motives to manipulate reported earnings? Choose 2. (choose 2)

- A. Satisfying the auditor's request for detail
- B. Hitting the bonus threshold
- C. Passing SOX 404 testing
- D. Qualifying for the credit line

Target word: _____ The one fact that decides: _____
 Answer: _____ [] sure [] unsure [] guess

44. Earnings manipulation — transfer pre-assessment Q38 **[TRANSFER]**

Which of the following is NOT a typical reason managers manipulate earnings?

- A. Complying with Sarbanes-Oxley internal-control requirements
- B. Meeting analysts' consensus forecast
- C. Staying within a debt covenant
- D. Earning a bonus tied to net income

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

45. SOX — audit firms pre-assessment Q39

Under Sarbanes-Oxley, which two requirements apply to the firm auditing a public company? Choose 2. (choose 2)

- A. Certify the accuracy of the client's financial statements personally
- B. Prepare the client's internal control report
- C. Rotate the lead audit partner periodically
- D. Refrain from providing certain non-audit services to the audit client

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

46. SOX — management pre-assessment Q40

Under Sarbanes-Oxley, which two requirements fall on the management of a public company? Choose 2. (choose 2)

- A. Register with the PCAOB
- B. The CEO and CFO certify the financial statements
- C. Assess and report on internal control over financial reporting
- D. Rotate the audit partner every five years

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

47. Internal auditors pre-assessment Q41

Which two actions do internal auditors take to protect the integrity of financial reporting? Choose 2. (choose 2)

- A. Evaluate compliance with company policies and procedures
- B. Set the accounting standards the company follows
- C. Issue the opinion on the annual financial statements
- D. Test whether internal controls are operating as designed

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

48. SEC pre-assessment Q42

A public company files its 10-K late and with a material misstatement. Which body has the authority to require the filing, review it, and bring an enforcement action?

- A. The SEC
- B. The FASB
- C. The AICPA
- D. The PCAOB

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

Competency 6 · Management accounting and cost classification

49. Management accounting pre-assessment Q43

Which two describe what management accounting provides? Choose 2. (choose 2)

- A.** Reports that must follow GAAP
- B.** Both financial and non-financial measures, such as defect rates
- C.** Information for internal planning and control
- D.** Audited statements for external investors

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

50. Management vs financial accounting pre-assessment Q44 [RE-ARMED — missed on attempt 3]

A plant controller prepares a monthly scrap-rate report by machine, a quarterly product-line profitability analysis using estimated future demand, and the 10-Q. Which statement correctly separates the first two from the third?

- A.** The first two cannot be used to gain competitive advantage; the 10-Q can
- B.** The first two are restricted to financial data; the 10-Q includes non-financial data
- C.** The first two are for internal planning, control and evaluation; the 10-Q is for external users under GAAP
- D.** The first two are unbiased; the 10-Q reflects management judgement

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

51. Management vs financial — transfer pre-assessment Q44 [TRANSFER]

Which statement describes FINANCIAL accounting?

- A.** Emphasises future projections
- B.** Reports historical results to external users under GAAP
- C.** Includes non-financial performance measures
- D.** Is tailored to individual managers' decisions

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

52. Manufacturing balance sheet pre-assessment Q45

Which account appears on a manufacturer's balance sheet but not on a merchandiser's?

- A.** Work-in-process inventory
- B.** Accounts receivable
- C.** Accumulated depreciation
- D.** Merchandise inventory

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

53. Differential cost pre-assessment Q46

A firm deciding whether to keep or replace a delivery van considers: the van's original price \$38,000 · its book value \$9,000 · the new van's price \$45,000 · fuel savings of \$3,000 a year · the depot rent \$24,000 a year either way. Which cost is differential?

- A. The \$38,000 original price
- B. The \$24,000 depot rent
- C. The \$9,000 book value
- D. The \$3,000 annual fuel savings

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

54. Period costs pre-assessment Q47

A candle maker incurs: paraffin wax · wages of the pourers · the showroom lease · factory electricity · a trade-show booth. Which two are period costs? Choose 2. (choose 2)

- A. Paraffin wax
- B. Factory electricity
- C. The showroom lease
- D. The trade-show booth

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

55. Period vs product cost pre-assessment Q48 **[RE-ARMED — missed on attempt 3]**

A custom guitar workshop incurs: spruce and mahogany · the luthier's wages · the showroom rent · Instagram advertising · the shop foreman's salary · varnish. Which two are PRODUCT costs? Choose 2. (choose 2)

- A. Spruce and mahogany
- B. Instagram advertising
- C. The showroom rent
- D. The luthier's wages

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

56. Period vs product — transfer pre-assessment Q48 **[TRANSFER]**

Same workshop. Which two are PERIOD costs? Choose 2: the shop foreman's salary · delivery of finished guitars to customers · factory utilities · the CFO's salary. (choose 2)

- A. The shop foreman's salary
- B. The CFO's salary
- C. Delivery to customers
- D. Factory utilities

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

57. Ethical standards pre-assessment Q49

A management accountant is asked to shift a period cost into overhead so a product looks profitable in a board deck. Which best describes the role of ethical standards here?

- A.** They apply only to external reporting under GAAP
- B.** They guarantee that no misstatement will occur
- C.** They are optional because the report is internal
- D.** They require competence, confidentiality, integrity and credibility in internal reporting as well

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

58. Product cost total pre-assessment Q50

First month of operations: direct materials \$12,000 · indirect materials \$3,500 · direct labour \$28,000 · indirect labour \$6,000 · factory rent \$9,000 · factory depreciation \$5,000 · sales commissions \$7,000 · office rent \$4,000 · advertising \$2,500. Total product costs?

- A.** \$77,000
- B.** \$70,500
- C.** \$40,000
- D.** \$63,500

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

59. Cost of goods sold from production pre-assessment Q51 **[RE-ARMED — missed on attempt 3]**

First month: direct materials \$24,000 · direct labour \$36,000 · manufacturing overhead \$30,000 · selling expenses \$8,000 · administrative \$5,000. The company produced 6,000 units and sold 4,500. What is cost of goods sold?

- A.** \$90,000
- B.** \$77,250
- C.** \$67,500
- D.** \$45,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

60. Ending inventory — transfer pre-assessment Q51 **[TRANSFER]**

Same data. What is the value of finished-goods inventory at month-end?

- A.** \$27,000
- B.** \$22,500
- C.** \$20,000
- D.** \$67,500

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

61. Inventory cost pre-assessment Q52

Which two costs are included in the cost of a manufacturer's inventory? Choose 2. (choose 2)

- A.** Depreciation on the sales fleet
- B.** Depreciation on production machinery
- C.** Sales manager's salary
- D.** Factory supervisor's salary

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

Competency 7 · Activity-based costing

62. When ABC fits pre-assessment Q53

In which scenario would activity-based costing most improve product costing over a single plant-wide rate?

- A. A firm whose overhead is under 2% of total cost
- B. A service firm with no overhead
- C. One product, one process, overhead mostly machine depreciation
- D. Many products with different batch sizes, setups and inspection needs sharing one factory

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

63. ABC hierarchy pre-assessment Q54

Machine setup and material movement between work centres are classified at which level of the ABC hierarchy?

- A. Product-level
- B. Batch-level
- C. Unit-level
- D. Facility-level

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

64. Cost driver pre-assessment Q55 [RE-ARMED — missed on attempt 3]

A hospital wants to assign laundry-department cost to its nursing units. Candidate bases: the laundry manager's hours · the price per gallon of detergent · pounds of linen processed per unit · the number of nurses on each unit. Which is the appropriate cost driver?

- A. The laundry manager's hours
- B. The price of detergent
- C. Pounds of linen processed per unit
- D. The number of nurses on each unit

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

65. Cost driver — transfer pre-assessment Q55 [TRANSFER]

Which of the following is a COST rather than a cost driver: number of purchase orders · pounds of material handled · the purchasing clerk's salary · number of machine setups?

- A. Pounds of material handled
- B. Number of purchase orders
- C. The purchasing clerk's salary
- D. Number of machine setups

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

66. ABC allocation pre-assessment Q56

Pools: machining \$240,000 / 16,000 hours · setups \$36,000 / 300 setups · inspection \$12,000 / 400 inspections. Product X uses 5,000 hours, 60 setups, 100 inspections. Overhead applied to X?

- A. \$82,200
- B. \$90,000
- C. \$85,200
- D. \$75,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

67. ABC allocation pre-assessment Q57

Same pools. Product Z uses 2,000 hours, 140 setups, 250 inspections. Overhead applied to Z?

- A. \$36,000
- B. \$30,000
- C. \$46,800
- D. \$54,300

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

68. Overhead application pre-assessment Q58

Predetermined overhead rate \$1.20 per machine hour · budgeted machine hours 400,000 · actual machine hours 460,000 · budgeted overhead \$480,000 · actual overhead \$540,000. What is applied overhead?

- A. \$540,000
- B. \$552,000
- C. \$480,000
- D. \$12,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

69. Using ABC results pre-assessment Q59

Traditional costing put Product B's unit cost at \$40; ABC puts it at \$58. B sells for \$50. Which conclusion follows?

- A. Cut B's price to regain volume
- B. Increase B's batch count to spread setup cost
- C. B is losing money at \$50; raise its price or reconsider the line
- D. Return to traditional costing, which shows a profit

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

Competency 8 · Cost-volume-profit

70. Contribution margin and operating income pre-assessment Q60 **[RE-ARMED — missed on attempt 3]**

A refinery sells 400,000 gallons at \$2.40. Variable cost is \$1.70 per gallon; fixed costs are \$180,000. Overhead was applied at \$0.45 per gallon, \$600 per batch and \$1,200 per ingredient. If the selling price rises by \$0.10 and volume holds, what is operating income?

- A. \$100,000
- B. \$320,000
- C. \$140,000
- D. \$40,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

71. Contribution margin — transfer pre-assessment Q60 **[TRANSFER]**

Same refinery, original price. What price increase per gallon is needed to reach operating income of \$200,000 at 400,000 gallons?

- A. \$0.50
- B. \$0.05
- C. \$0.20
- D. \$0.25

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

72. Cost-volume-profit pre-assessment Q61

Which two concepts does cost-volume-profit analysis study? Choose 2. (choose 2)

- A. How to allocate overhead across products
- B. The volume at which revenue covers all costs
- C. How fixed and variable costs behave as volume changes
- D. How to value ending inventory under GAAP

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

73. Fixed cost behaviour pre-assessment Q62

As sales volume increases within the relevant range, which two are true? Choose 2. (choose 2)

- A. Total variable costs stay the same
- B. Fixed cost per unit falls
- C. Variable cost per unit falls
- D. Total fixed costs stay the same

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

74. Break-even in units pre-assessment Q63

Price \$45 · variable cost \$27 per unit · fixed costs \$216,000 · last year's volume 15,000 units · target profit \$54,000. Break-even in units?

- A. 4,800
- B. 15,000
- C. 12,000
- D. 8,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

75. Break-even in revenue pre-assessment Q64

At the break-even point, total revenue equals what?

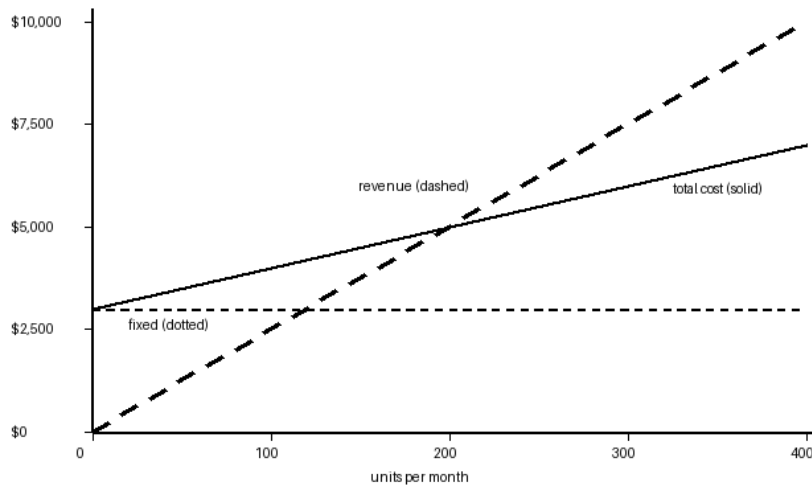
- A.** Total fixed plus total variable costs
- B.** Contribution margin
- C.** Total variable costs
- D.** Total fixed costs

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

76. Reading a CVP graph pre-assessment Q65 **[RE-ARMED — missed on attempt 3]**

Fixed costs \$3,000 · variable cost \$10 per unit · price \$25 per unit. Using the graph, which statement is true at 300 units?



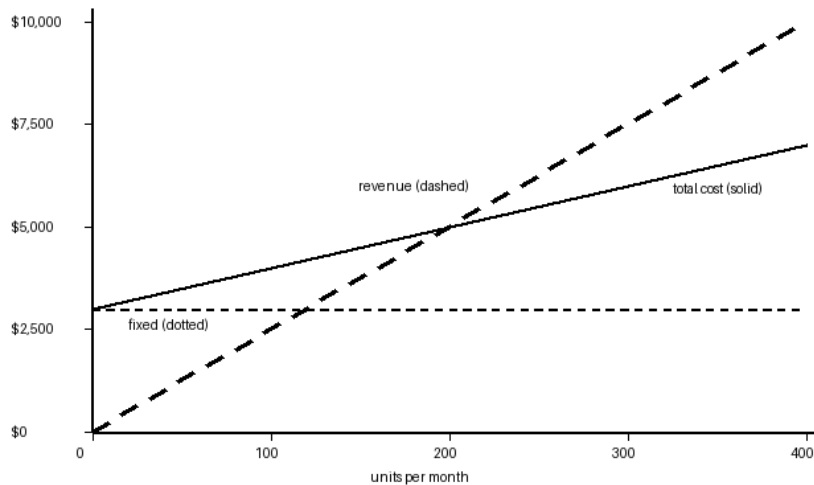
- A.** Fixed costs equal \$6,000
- B.** Sales revenue equals \$6,000
- C.** Total costs equal \$6,000
- D.** Profit equals \$4,500

Target word: _____ The one fact that decides: _____

Answer: _____ [] sure [] unsure [] guess

77. CVP graph — transfer pre-assessment Q65 **[TRANSFER]**

Same graph. What is the break-even point?



- A. 200 units
- B. 300 units
- C. \$5,000
- D. 120 units

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

Competency 9 • Credit and cash budgeting**78. Credit policy and bad debt** pre-assessment Q66

Bad-debt expense has doubled. Which credit-policy change would cause that?

- A. Requiring a credit check before opening an account
- B. Raising credit limits for every customer
- C. Offering 2/10, n/30 on all credit sales
- D. Shortening terms from net 60 to net 30

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

79. Cash collections budget pre-assessment Q67

Sales: April \$180,000 · May \$240,000 · June \$300,000. 55% of sales are cash; credit sales are collected 50% in the month of sale, 35% the next month, 15% the second month. Forecast June cash collections.

- A. \$232,500
- B. \$300,000
- C. \$270,300
- D. \$282,450

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

80. Purchases payment budget pre-assessment Q68

Raw-material purchases: Jan \$12,000 · Feb \$18,000 · Mar \$26,000 · Apr \$21,000 · May \$29,000 · Jun \$33,000. Payment: 45% in the month of purchase, 30% the next, 25% the second. Budgeted cash disbursements for May?

- A.** \$19,350
- B.** \$25,850
- C.** \$28,800
- D.** \$29,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

81. Cash disbursements in a window pre-assessment Q69

Inventory purchases: Jul \$90,000 · Aug \$60,000 · Sep \$200,000 · Oct \$110,000 · Nov \$240,000 · Dec \$40,000. Paid 50% in the month, 35% the next, 15% the second. Total 2014 cash payments for these purchases?

- A.** \$740,000
- B.** \$684,000
- C.** \$720,000
- D.** \$664,000

Target word: _____ The one fact that decides: _____
Answer: _____ [] sure [] unsure [] guess

STOP

Answers ahead. Finish Part A and mark every confidence box, then turn.

Part B — Key and dissection

Competency 1 · The accounting environment and the statements

1. Purpose of accounting — D

Rule. Accounting reports the financial performance and position of a business.

Target word. lender · covenant **Decides.** Accounting measures financial performance; everything else in the report is real but is not accounting.

Camouflage, struck. ~~ESG section · community giving · satisfaction index · 140 pages~~

A	answers the camouflage	Whether the grocer's environmental targets were met
B	answers the camouflage	How well the grocer is regarded by its customers
C	answers the camouflage	How much the grocer gave to community causes
D	KEY	The grocer's financial performance and position

2. Statement of cash flows — C

Rule. The statement of cash flows summarises cash by operating, investing and financing activity over a period.

Target word. quarter just ended · three sections **Decides.** Three activity categories over a period name one statement.

Camouflage, struck. ~~reconciled ending balance — it does, but the sections are the tell · CFO~~

A	adjacent category	Statement of financial position
B	confusion set	Statement of stockholders' equity
C	KEY	Statement of cash flows
D	confusion set	Cash budget

3. Users of financial statements — B

Rule. Employees and their representatives care about the firm's ability to fund pay and benefits.

Target word. fund benefits **Decides.** Whose benefit is at stake? Employees'.

Camouflage, struck. ~~pension freeze · rating agency · tax authority~~

A	adjacent category	The bond rating agency
B	KEY	The union pension trustee, on behalf of employees
C	answers the camouflage	The competitor's strategy team
D	confusion set	The state tax authority

4. GAAP — D

Rule. Following GAAP makes a company comparable to others; it does not lower tax or raise assets.

Target word. benefit · reason for the switch **Decides.** GAAP exists so statements can be compared across companies.

Camouflage, struck. ~~income will fall · revenue deferred · IPO~~

A	inverted operation	Lower income tax, because reported income falls
B	inverted operation	A larger reported asset base to support the offering
C	absolute language	Exemption from external audit once GAAP is adopted
D	KEY	Comparability with other public companies for investors

5. PCAOB — D

Rule. The PCAOB regulates audits of public companies; FASB sets standards; the IRS collects tax.

Target word. NYSE-listed · audit workpapers **Decides.** Public-company audit oversight is one body: PCAOB.

Camouflage, struck. ~~family-owned chain · Big Four~~

A	confusion set	The Financial Accounting Standards Board
B	adjacent category	The state board that licenses the family-chain engagement
C	confusion set	The Internal Revenue Service
D	KEY	The Public Company Accounting Oversight Board

6. Drivers of change — C

Rule. Information technology has changed accounting practice more than any other force.

Target word. most significant **Decides.** The broadest technological cause, not one of its products.

Camouflage, struck. ~~outsourced payroll · continuous auditing — both are IT's children~~

A	wrong stem number	Outsourcing of routine functions
B	adjacent category	The growth of professional certification
C	KEY	Information technology
D	adjacent category	Cloud-hosted payroll services

7. Balance sheet — C and D

Rule. The balance sheet shows debt (liabilities) and ownership (equity) at a date.

Target word. dated December 31 **Decides.** A date means position: liabilities and equity.

Camouflage, struck. ~~10-K · one page~~

A	adjacent category	How much cash operations generated
B	adjacent category	What the company earned during the year
C	KEY	What the company owes
D	KEY	Who owns the residual and how much

8. Owners' equity — A

Rule. Owners' equity is the residual interest in net assets after liabilities.

Target word. residual · after every creditor **Decides.** Net assets minus liabilities is equity by definition.

Camouflage, struck. ~~proceeds of its assets~~

A	KEY	Owners' equity
B	confusion set	Working capital
C	adjacent category	Net income
D	adjacent category	Retained earnings

9. Accounting equation — B

Rule. Long-term = total – current, on the same side of the equation.

Target word. long-term ASSETS **Decides.** Total assets minus current assets. Nothing else in the stem is needed.

Camouflage, struck. ~~total liabilities · retained earnings · market cap · current liabilities~~

A	adjacent category	\$330 million
B	KEY	\$580 million
C	adjacent category	\$320 million
D	inverted operation	\$650 million

\$330M is equity (840–510). \$320M is long-term liabilities (510–190). \$650M subtracts current liabilities from assets — mixed sides.

10. Accounting equation — transfer — C

Rule. Assets = liabilities + equity.

Target word. TOTAL assets **Decides.** A = L + E. Add.

Camouflage, struck. ~~current assets · current liabilities~~

A	adjacent category	\$1,020 million
B	wrong stem number	\$510 million
C	KEY	\$840 million
D	inverted operation	\$180 million

\$180M subtracts. \$510M is a stem number. \$1,020M doubles liabilities.

11. Revenue recognition — D

Rule. Revenue is recognised when earned, not when cash moves or a contract is signed.

Target word. delivered **Decides.** Find the event where the work was done in the year.

Camouflage, struck. ~~\$40,000 collection · \$90,000 letter · \$15,000 prepayment~~

A	inverted operation	Event 4 — the \$15,000 prepayment
B	inverted operation	Event 1 — the \$40,000 collection
C	confusion set	Event 2 — the \$90,000 signed engagement
D	KEY	Event 3 — the \$25,000 project delivered on terms

12. Financing activities — C

Rule. Financing = cash to and from owners and lenders: stock, dividends, buybacks, principal.

Target word. owners and lenders **Decides.** Owners and creditors define financing. (The exception is interest paid — operating under US GAAP.)

Camouflage, struck. ~~interest on bonds — operating, the one exception~~

A	adjacent category	Investing activities
B	adjacent category	Operating activities
C	KEY	Financing activities
D	confusion set	Non-cash disclosures

13. Notes to the statements — D

Rule. Significant accounting policies are disclosed in the notes.

Target word. how · method **Decides.** Methods and policies live in the notes.

Camouflage, struck. ~~auditor's opinion · five documents listed~~

A	adjacent category	On the face of the balance sheet, beside the asset
B	adjacent category	In the income statement's depreciation line
C	confusion set	In the auditor's opinion paragraph
D	KEY	In the summary of significant accounting policies in the notes

14. External audit — A

Rule. An audit gives reasonable assurance of fair presentation — never a guarantee.

Target word. assurance **Decides.** Reasonable, not absolute.

Camouflage, struck. ~~national firm · credit memo~~

A	KEY	Reasonable assurance the statements are fairly presented under GAAP
B	absolute language	The statements are guaranteed free of all error
C	adjacent category	Assurance that the company will remain solvent
D	absolute language	Certainty that no fraud occurred during the year

15. Qualitative characteristics — D

Rule. Materiality = too small to matter · Conservatism = losses early, gains late · Verifiability = independent agreement · Relevance = changes a decision.

Target word. loss recorded, gain not **Decides.** Recognise losses when probable, gains when realised — that asymmetry is conservatism.

Camouflage, struck. ~~\$600 write-off · materiality · two accountants · verifiability~~

A	confusion set	Relevance
B	adjacent category	Verifiability
C	adjacent category	Materiality
D	KEY	Conservatism

16. Decision cycle — A

Rule. Statements are the starting input, not the output. Gathering comes after analysis in this cycle.

Target word. just finished analysing · next **Decides.** The scored order: prepare → analyse → gather → decide → implement.

Camouflage, struck. —

A	KEY	Gather additional information
B	dropped element	Implement the decision
C	inverted operation	Prepare the financial statements
D	dropped element	Make the decision

Prepare is step 1, already done. Decide and implement skip the gathering step.

17. Decision cycle — transfer — A

Rule. prepare → analyse → gather → decide → implement.

Target word. last **Decides.** Implement closes the cycle.

Camouflage, struck. —

A	KEY	Implement the decision
B	adjacent category	Make the decision
C	inverted operation	Analyse the statements
D	inverted operation	Gather additional information

Competency 2 · Ratios and analysis

18. Price-earnings ratio — D

Rule. PE = price per share ÷ earnings per share.

Target word. price-EARNINGS **Decides.** Price ÷ EPS, or market cap ÷ net income. Same answer.

Camouflage, struck. sales · total assets · dividends · book equity

A	adjacent category	3.5
B	wrong stem number	12.4
C	adjacent category	0.81
D	KEY	10.0

3.5 is price-to-book (42,000/12,000). 12.4 is sales ÷ net income. 0.81 is market cap ÷ sales.

19. Current ratio — transfer — B

Rule. Current ratio = current assets ÷ current liabilities.

Target word. CURRENT over CURRENT **Decides.** Both words must match.

Camouflage, struck. total assets · total liabilities · equity · net income

A	adjacent category	0.75
B	KEY	1.47
C	inverted operation	0.68
D	adjacent category	1.21

1.21 is total ÷ total. 0.75 is current assets ÷ total liabilities. 0.68 is inverted.

20. Debt ratio — A

Rule. Debt ratio = total liabilities ÷ total assets; the remainder is equity's share.

Target word. debt ratio **Decides.** Debt ratio is total liabilities ÷ total assets.

Camouflage, struck. current ratio 0.8 · sales × 3

A	KEY	Liabilities are 92% of total assets, so equity is 8%
B	answers the camouflage	Current liabilities are 92% of current assets
C	adjacent category	Liabilities are 92% of sales
D	confusion set	Interest consumes 92% of operating cash

21. Gross profit — A

Rule. Gross profit = sales – cost of goods sold. Nothing below that line touches it.

Target word. GROSS profit · COGS constant **Decides.** Gross profit is only sales minus COGS, so with COGS fixed, sales fell.

Camouflage, struck. ~~interest · salaries · tax rate~~

A	KEY	Falling sales revenue
B	answers the camouflage	Rising interest expense
C	answers the camouflage	The changing tax rate
D	answers the camouflage	Falling salaries

22. Cash flow adequacy — B and D

Rule. Adequacy above 1 means operating cash covers commitments; a cow is well above 1.

Target word. cash cow · comfortably above 1 **Decides.** Divide before comparing: 1.40 · 3.00 · 0.98 · 1.01.

Camouflage, struck. ~~the largest numerator (\$8,900) is below 1~~

A	adjacent category	\$8,900 / \$9,100
B	KEY	\$6,150 / \$2,050
C	adjacent category	\$4,400 / \$4,350
D	KEY	\$7,420 / \$5,300

23. Cash times interest earned — B

Rule. Cash times interest earned = cash before interest and taxes ÷ cash paid for interest.

Target word. INTEREST earned **Decides.** Interest in the denominator: 96,000 ÷ 8,000.

Camouflage, struck. ~~taxes · cash from operations · acquisitions~~

A	adjacent category	8.0
B	KEY	12.0
C	dropped element	4.8
D	adjacent category	2.4

8.0 divides by taxes. 2.4 divides by cash from operations. 4.8 divides by interest plus taxes.

24. Long-term liabilities — A

Rule. Long-term = due after one year (or the operating cycle). The current portion of long-term debt is current.

Target word. due beyond one year **Decides.** One year is the line; the same mortgage is split across it.

Camouflage, struck. ~~same mortgage appears twice~~

A	KEY	The \$540,000 mortgage principal due beyond one year
B	adjacent category	The trade payables
C	adjacent category	The \$60,000 current portion of the mortgage
D	adjacent category	The refundable customer deposit

Competency 3 · Transactions and accrual

25. Transaction analysis — B

Rule. Assets acquired = cash given + liability created. Equity is untouched by a purchase.

Target word. the rest on credit **Decides.** Three accounts move; equity does not.

Camouflage, struck. ~~stock issue · 12% loan~~

A	adjacent category	Inventory +\$200,000 · retained earnings –\$80,000
B	KEY	Inventory +\$200,000 · cash –\$120,000 · accounts payable +\$80,000
C	dropped element	Inventory +\$120,000 · cash –\$120,000
D	wrong stem number	Inventory +\$200,000 · cash –\$200,000

26. Prepaid expense — D

Rule. Paid in advance = an asset until the benefit is consumed.

Target word. begins February 1 · January 31 **Decides.** Coverage hasn't started; nothing is expensed yet.

Camouflage, struck. ~~twelve-month~~

A	inverted operation	Prepaid insurance +\$8,800 · insurance expense \$800 · cash –\$9,600
B	inverted operation	Insurance expense \$9,600 · cash –\$9,600
C	confusion set	Cash –\$9,600 · accounts payable –\$9,600
D	KEY	Prepaid insurance +\$9,600 · cash –\$9,600

27. Net income — A and D

Rule. Expenses and ordinary gains/losses affect income; dividends, contributions and buybacks are equity transactions.

Target word. net INCOME **Decides.** Owners' transactions never touch net income.

Camouflage, struck. ~~stock repurchase~~

A	KEY	The operating expenses
B	adjacent category	The new investor's \$200,000
C	adjacent category	The dividends
D	KEY	The lawsuit loss

28. Multi-step income statement — C and D

Rule. Multi-step shows gross profit and operating income as subtotals.

Target word. income statement subtotals **Decides.** Subtotals of performance, not position or cash.

Camouflage, struck. ~~single-step comparison~~

A	adjacent category	Total current liabilities
B	adjacent category	Net increase in cash
C	KEY	Gross profit
D	KEY	Income from operations

29. Accrual — expense timing — B

Rule. Under accrual, expense follows the event, not the cash.

Target word. commissions · sales in November **Decides.** Match the expense to the sale that caused it, not the payment.

Camouflage, struck. ~~e-bike purchase · radio campaign · 60-day terms~~

A	dropped element	January
B	KEY	November
C	answers the camouflage	October
D	inverted operation	December

30. Prepaid expense over time — A

Rule. Expense the months actually covered in the period.

Target word. 24-month · November 1 **Decides.** Two months of 24: $14,400 \div 24 \times 2$.

Camouflage, struck. ~~\$720,000 equipment · five-year life~~

A	KEY	\$1,200
B	inverted operation	\$7,200
C	dropped element	\$600
D	wrong stem number	\$14,400

\$7,200 is a full year. \$600 is one month. \$14,400 is the whole policy.

31. Revenue on account — C and D

Rule. Delivered on credit: receivable up by the unpaid part, equity up by the whole revenue.

Target word. services DELIVERED · apart from cash **Decides.** Revenue earned drives equity; cash timing doesn't.

Camouflage, struck. ~~\$3,000 prepayment — a liability, not this question~~

A	inverted operation	Retained earnings +\$5,000
B	confusion set	Unearned revenue +\$18,000
C	KEY	Accounts receivable +\$13,000
D	KEY	Retained earnings +\$18,000

Retained earnings +\$5,000 uses the cash amount. Unearned revenue is the prepayment's account, not the delivery's.

32. Revenue on account — transfer — A

Rule. Cash received before the work is a liability until earned.

Target word. prepays · will perform **Decides.** Cash before work = an obligation, not income.

Camouflage, struck. —

A	KEY	Unearned revenue +\$9,000
B	inverted operation	Retained earnings +\$9,000
C	inverted operation	Revenue +\$9,000
D	confusion set	Accounts receivable +\$9,000

33. Pro-forma growth — A

Rule. Base = projection ÷ (1 + growth).

Target word. WAS · base year **Decides.** Divide by 1.30. Work backwards.

Camouflage, struck. ~~12% the year before~~

A	KEY	\$176,000
B	inverted operation	\$297,440
C	inverted operation	\$160,160
D	dropped element	\$198,800

\$297,440 multiplies by 1.3. \$160,160 multiplies by 0.7. \$198,800 subtracts 30,000.

Competency 4 · The statement of cash flows

34. Cash flow categories — C

Rule. Operating · investing · financing. Nothing else.

Target word. headings **Decides.** Three categories, fixed by the standard.

Camouflage, struck. ~~plausible extra headings~~

A	confusion set	Operating, Capital, Shareholder
B	adjacent category	Operating, Financing, Shareholder
C	KEY	Operating, Investing, Financing
D	confusion set	Capital, Investing, Discretionary

35. Financing — investors — C

Rule. Cash from owners is financing, whatever the word 'investor' suggests.

Target word. from INVESTORS **Decides.** Owners = financing. The word 'investing' is the bait.

Camouflage, struck. ~~gift cards — operating~~

A	adjacent category	Operating
B	confusion set	Investing
C	KEY	Financing
D	adjacent category	Both amounts are financing

36. Investing activities — A

Rule. Investing = long-term assets bought or sold.

Target word. long-lived asset **Decides.** Buying or selling productive assets is investing.

Camouflage, struck. —

A	KEY	Purchase of a delivery truck
B	adjacent category	Payment of a supplier
C	adjacent category	Payment of a dividend
D	adjacent category	Issuance of bonds

37. Sale of equipment — A

Rule. Proceeds from selling equipment are investing inflows; the gain is removed from operating so it isn't counted twice.

Target word. sells a MACHINE · proceeds **Decides.** The asset sold sets the category; the gain is only an operating adjustment.

Camouflage, struck. ~~book value · gain~~

A	KEY	Investing +\$52,000, and the \$12,000 gain subtracted in operating
B	confusion set	Financing +\$52,000
C	wrong stem number	Investing +\$12,000
D	adjacent category	Operating +\$52,000

Operating +\$52,000 puts proceeds in the wrong section. Investing +\$12,000 reports the gain, not the cash.

38. Sale of equipment — transfer — C

Rule. Investing shows the cash, not the accounting result.

Target word. investing effect · cash received **Decides.** Cash received is the investing number; the loss is an operating add-back.

Camouflage, struck. ~~loss~~

A	adjacent category	−\$5,000
B	inverted operation	+\$25,000
C	KEY	+\$20,000
D	inverted operation	+\$15,000

39. Direct vs indirect method — C

Rule. Direct lists receipts and payments; indirect starts from net income. Same operating total.

Target word. direct vs indirect **Decides.** Same total, different route; investing and financing identical.

Camouflage, struck. —

A	absolute language	The indirect method is prohibited under US GAAP
B	inverted operation	The direct method starts from net income
C	KEY	They produce the same operating total; only the presentation of the operating section differs
D	inverted operation	They produce different totals for operating cash flow

40. Operating cash flow — B

Rule. Operating = customer receipts – operating payments, and under US GAAP interest paid is operating.

Target word. OPERATING · US GAAP **Decides.** Include interest and taxes; exclude equipment, dividends, borrowing, buyback.

Camouflage, struck. equipment · dividends · borrowing · treasury stock

A	adjacent category	\$127,000
B	KEY	\$152,000
C	adjacent category	\$47,000
D	dropped element	\$170,000

\$170,000 drops interest. \$47,000 nets everything. \$127,000 subtracts dividends.

Competency 5 · Controls, fraud and oversight

41. Errors vs fraud — B and C

Rule. An error is unintentional; fraud is deliberate.

Target word. not realising · prior year's table **Decides.** Intent is the dividing line.

Camouflage, struck. dollar size — irrelevant to the classification

A	adjacent category	The CFO instructed staff to hold December returns until January to protect the bonus pool
B	KEY	A clerk posted a customer deposit as revenue, not realising the service was scheduled for next quarter
C	KEY	Payroll tax was computed on the prior year's rate table, understating the liability
D	adjacent category	A purchasing manager approved inflated invoices from a vendor who paid him a kickback

42. Internal control — receiving — B

Rule. Three-way match prevents paying for goods not received.

Target word. pay · receiving report **Decides.** The receiving report proves the goods arrived.

Camouflage, struck. —

A	adjacent category	Overstating ending inventory at year-end
B	KEY	Paying for goods that were ordered but never received
C	adjacent category	Ordering more inventory than the budget allows
D	confusion set	Recording sales before delivery

43. Earnings manipulation — B and D

Rule. Manipulation motives: bonus targets, loan covenants, internal goals, analyst forecasts.

Target word. motive · pressure to overstate **Decides.** A motive is a pressure to make earnings look better. Auditors and SOX are pressures the other way.

Camouflage, struck. auditor request · SOX testing

A	inverted operation	Satisfying the auditor's request for detail
B	KEY	Hitting the bonus threshold
C	inverted operation	Passing SOX 404 testing
D	KEY	Qualifying for the credit line

Auditor detail and SOX compliance are reasons not to manipulate; picking them is a concept inversion.

44. Earnings manipulation — transfer — A

Rule. SOX is a control against manipulation, not a motive for it.

Target word. NOT **Decides.** Reverse the question: the one that is a constraint, not a pressure.

Camouflage, struck. —

A	KEY	Complying with Sarbanes-Oxley internal-control requirements
B	adjacent category	Meeting analysts' consensus forecast
C	adjacent category	Staying within a debt covenant
D	adjacent category	Earning a bonus tied to net income

45. SOX — audit firms — C and D

Rule. SOX for auditors: partner rotation, banned consulting services, PCAOB registration.

Target word. AUDIT FIRM **Decides.** What SOX restricts the auditor from doing, not what management must sign.

Camouflage, struck. ~~certification — that's management~~

A	adjacent category	Certify the accuracy of the client's financial statements personally
B	adjacent category	Prepare the client's internal control report
C	KEY	Rotate the lead audit partner periodically
D	KEY	Refrain from providing certain non-audit services to the audit client

46. SOX — management — B and C

Rule. SOX for management: certify the statements (302), report on internal controls (404).

Target word. MANAGEMENT **Decides.** Certification and the internal-control report are management's.

Camouflage, struck. ~~partner rotation · PCAOB registration — auditor duties~~

A	adjacent category	Register with the PCAOB
B	KEY	The CEO and CFO certify the financial statements
C	KEY	Assess and report on internal control over financial reporting
D	adjacent category	Rotate the audit partner every five years

47. Internal auditors — A and D

Rule. Internal audit tests controls and compliance; external audit issues the opinion; FASB sets standards.

Target word. INTERNAL auditors **Decides.** Inside the company: controls and compliance. The opinion is external.

Camouflage, struck. —

A	KEY	Evaluate compliance with company policies and procedures
B	confusion set	Set the accounting standards the company follows
C	adjacent category	Issue the opinion on the annual financial statements
D	KEY	Test whether internal controls are operating as designed

48. SEC — A

Rule. SEC = regulates public-company reporting and enforces securities law.

Target word. require the filing · enforcement **Decides.** The SEC regulates the public markets and their disclosures.

Camouflage, struck. —

A	KEY	The SEC
B	confusion set	The FASB
C	confusion set	The AICPA
D	adjacent category	The PCAOB

Competency 6 · Management accounting and cost classification

49. Management accounting — B and C

Rule. Management accounting serves internal decisions with financial and non-financial data.

Target word. management **Decides.** Inside, forward-looking, not GAAP-bound.

Camouflage, struck. —

A	adjacent category	Reports that must follow GAAP
B	KEY	Both financial and non-financial measures, such as defect rates
C	KEY	Information for internal planning and control
D	adjacent category	Audited statements for external investors

50. Management vs financial accounting — C

Rule. Management accounting: internal, future-oriented, unaudited, includes non-financial. Financial accounting: external, historical, GAAP.

Target word. who reads it **Decides.** Audience decides the classification.

Camouflage, struck. ~~scrap rate report — non financial, and still management accounting~~

A	inverted operation	The first two cannot be used to gain competitive advantage; the 10-Q can
B	inverted operation	The first two are restricted to financial data; the 10-Q includes non-financial data
C	KEY	The first two are for internal planning, control and evaluation; the 10-Q is for external users under GAAP
D	inverted operation	The first two are unbiased; the 10-Q reflects management judgement

Every distractor swaps a financial-accounting trait onto management accounting.

51. Management vs financial — transfer — B

Rule. Same table, other column.

Target word. FINANCIAL **Decides.** External, historical, GAAP.

Camouflage, struck. —

A	inverted operation	Emphasises future projections
B	KEY	Reports historical results to external users under GAAP
C	inverted operation	Includes non-financial performance measures
D	inverted operation	Is tailored to individual managers' decisions

52. Manufacturing balance sheet — A

Rule. Manufacturers carry raw materials, work in process and finished goods; merchandisers carry merchandise inventory.

Target word. manufacturer but NOT merchandiser **Decides.** Only a maker has goods partly made.

Camouflage, struck. —

A	KEY	Work-in-process inventory
B	confusion set	Accounts receivable
C	confusion set	Accumulated depreciation
D	adjacent category	Merchandise inventory

53. Differential cost — D

Rule. Differential = future and different. Sunk and unchanged costs are ignored.

Target word. changes with the decision **Decides.** Only a future cost that differs between options is differential.

Camouflage, struck. ~~original price and book value — sunk · rent — same either way~~

A	adjacent category	The \$38,000 original price
B	adjacent category	The \$24,000 depot rent
C	adjacent category	The \$9,000 book value
D	KEY	The \$3,000 annual fuel savings

54. Period costs — C and D

Rule. Period costs = selling and administrative; product costs = materials, labour, factory overhead.

Target word. PERIOD **Decides.** Does it touch the product or the factory? If not, period.

Camouflage, struck. ~~factory electricity — overhead, so product~~

A	adjacent category	Paraffin wax
B	adjacent category	Factory electricity
C	KEY	The showroom lease
D	KEY	The trade-show booth

55. Period vs product cost — A and D

Rule. Direct material + direct labour + factory overhead = product. Selling and admin = period.

Target word. PRODUCT — reversed from the original **Decides.** Anything that touches the guitar.

Camouflage, struck. ~~foreman and varnish are also product — overhead — but only two are asked~~

A	KEY	Spruce and mahogany
B	adjacent category	Instagram advertising
C	adjacent category	The showroom rent
D	KEY	The luthier's wages

The original asked for period costs; this asks for product. Read the target word.

56. Period vs product — transfer — B and C

Rule. Factory supervision and factory utilities are manufacturing overhead, therefore product.

Target word. PERIOD **Decides.** Foreman and utilities are in the factory — overhead. Delivery and the CFO are not.

Camouflage, struck. —

A	adjacent category	The shop foreman's salary
B	KEY	The CFO's salary
C	KEY	Delivery to customers
D	adjacent category	Factory utilities

57. Ethical standards — D

Rule. Ethical standards govern internal reporting too: competence, confidentiality, integrity, credibility.

Target word. internal · board deck **Decides.** Ethics bind management accounting as fully as financial.

Camouflage, struck. —

A	inverted operation	They apply only to external reporting under GAAP
B	absolute language	They guarantee that no misstatement will occur
C	absolute language	They are optional because the report is internal
D	KEY	They require competence, confidentiality, integrity and credibility in internal reporting as well

58. Product cost total — D

Rule. Product cost = direct materials + direct labour + manufacturing overhead.

Target word. PRODUCT · in the factory **Decides.** DM + DL + all factory overhead; nothing from the office.

Camouflage, struck. ~~commissions · office rent · advertising~~

A	dropped element	\$77,000
B	adjacent category	\$70,500
C	dropped element	\$40,000
D	KEY	\$63,500

\$77,000 adds everything. \$40,000 is DM + DL only. \$70,500 adds commissions.

59. Cost of goods sold from production — C

Rule. COGS = (total product cost ÷ units produced) × units sold.

Target word. PRODUCED 6,000 · SOLD 4,500 **Decides.** Cost per unit produced × units sold: \$15 × 4,500.

Camouflage, struck. ~~selling · administrative~~

A	adjacent category	\$90,000
B	dropped element	\$77,250
C	KEY	\$67,500
D	dropped element	\$45,000

\$90,000 expenses everything produced. \$77,250 adds period costs to the unit cost. \$45,000 drops overhead.

60. Ending inventory — transfer — B**Rule.** Ending inventory = unsold units × product cost per unit.**Target word.** INVENTORY · unsold **Decides.** 1,500 unsold × \$15.**Camouflage, struck.** —

A	adjacent category	\$27,000
B	KEY	\$22,500
C	dropped element	\$20,000
D	inverted operation	\$67,500

\$27,000 uses \$18/unit (adds period costs). \$67,500 is COGS. \$20,000 drops overhead.

61. Inventory cost — B and D**Rule.** Inventoriable cost = product cost.**Target word.** INVENTORY cost **Decides.** Factory-side overhead attaches to inventory; selling-side does not.**Camouflage, struck.** ~~parallel wording between each pair~~

A	adjacent category	Depreciation on the sales fleet
B	KEY	Depreciation on production machinery
C	adjacent category	Sales manager's salary
D	KEY	Factory supervisor's salary

Competency 7 · Activity-based costing**62. When ABC fits — D****Rule.** ABC pays off when products consume overhead activities in different proportions.**Target word.** most improve **Decides.** Diversity of products and of the activities they consume.**Camouflage, struck.** —

A	adjacent category	A firm whose overhead is under 2% of total cost
B	confusion set	A service firm with no overhead
C	adjacent category	One product, one process, overhead mostly machine depreciation
D	KEY	Many products with different batch sizes, setups and inspection needs sharing one factory

63. ABC hierarchy — B**Rule.** Unit (each item) · batch (each run) · product (each line) · facility (the plant).**Target word.** setup · movement **Decides.** Done once per batch, regardless of units in it.**Camouflage, struck.** —

A	adjacent category	Product-level
B	KEY	Batch-level
C	adjacent category	Unit-level
D	adjacent category	Facility-level

64. Cost driver — C

Rule. A cost driver is the activity that causes the cost and varies with the cost object.

Target word. DRIVER · assign to units **Decides.** What makes laundry cost rise, and varies by unit? Linen volume.

Camouflage, struck. ~~detergent price — a cost input, not a driver~~

A	adjacent category	The laundry manager's hours
B	confusion set	The price of detergent
C	KEY	Pounds of linen processed per unit
D	adjacent category	The number of nurses on each unit

Manager hours don't vary by unit. Detergent price is a cost. Nurse count is a headcount, not laundry activity.

65. Cost driver — transfer — C

Rule. Drivers are measured in activity units; costs are measured in dollars.

Target word. COST rather than driver **Decides.** Reverse the question: the dollar amount is the cost; the counts are drivers.

Camouflage, struck. —

A	adjacent category	Pounds of material handled
B	adjacent category	Number of purchase orders
C	KEY	The purchasing clerk's salary
D	adjacent category	Number of machine setups

66. ABC allocation — C

Rule. Rate per pool × that product's consumption of that pool, summed.

Target word. each pool its own rate **Decides.** $\$15/\text{hr} \times 5,000 + \$120/\text{setup} \times 60 + \$30/\text{insp} \times 100$.

Camouflage, struck. —

A	dropped element	\$82,200
B	adjacent category	\$90,000
C	KEY	\$85,200
D	dropped element	\$75,000

\$90,000 uses a single plant-wide rate (\$18/hr). \$75,000 is machining only. \$82,200 drops inspection.

67. ABC allocation — D

Rule. Same method; track the row.

Target word. which product · which pool **Decides.** $\$30,000 + \$16,800 + \$7,500$.

Camouflage, struck. —

A	adjacent category	\$36,000
B	dropped element	\$30,000
C	dropped element	\$46,800
D	KEY	\$54,300

\$36,000 is the plant-wide rate. \$30,000 is machining only. \$46,800 drops inspection.

68. Overhead application — B**Rule.** Applied overhead = predetermined rate × actual activity.**Target word.** APPLIED **Decides.** Rate × actual base: \$1.20 × 460,000.**Camouflage, struck.** ~~budgeted overhead · actual overhead~~

A	wrong stem number	\$540,000
B	KEY	\$552,000
C	wrong stem number	\$480,000
D	adjacent category	\$12,000

\$480,000 and \$540,000 are stem numbers. \$12,000 is the over-applied amount (552,000 applied – 540,000 actual), not applied overhead.

69. Using ABC results — C**Rule.** When ABC raises a product's cost above its price, the price or the product has to change.**Target word.** ABC shows a higher cost **Decides.** ABC revealed an under-costed product.**Camouflage, struck.** —

A	inverted operation	Cut B's price to regain volume
B	inverted operation	Increase B's batch count to spread setup cost
C	KEY	B is losing money at \$50; raise its price or reconsider the line
D	inverted operation	Return to traditional costing, which shows a profit

Competency 8 · Cost-volume-profit**70. Contribution margin and operating income — C****Rule.** Sales – variable = contribution margin; – fixed = operating income.**Target word.** OPERATING income · after the increase **Decides.** New CM \$0.80 × 400,000 = \$320,000, less fixed \$180,000.**Camouflage, struck.** ~~overhead rates — already inside the \$1.70~~

A	adjacent category	\$100,000
B	dropped element	\$320,000
C	KEY	\$140,000
D	dropped element	\$40,000

\$320,000 stops at contribution margin. \$100,000 is income before the increase. \$40,000 is only the increase.

71. Contribution margin — transfer — D**Rule.** Work the equation backwards from the target income.**Target word.** solve for the price **Decides.** Need CM \$380,000 → \$0.95/gal → +\$0.25.**Camouflage, struck.** —

A	inverted operation	\$0.50
B	dropped element	\$0.05
C	adjacent category	\$0.20
D	KEY	\$0.25

72. Cost-volume-profit — B and C

Rule. CVP studies cost behaviour and the volume-profit relationship, including break-even.

Target word. C-V-P **Decides.** Cost behaviour and break-even are the two ideas.

Camouflage, struck. —

A	adjacent category	How to allocate overhead across products
B	KEY	The volume at which revenue covers all costs
C	KEY	How fixed and variable costs behave as volume changes
D	confusion set	How to value ending inventory under GAAP

73. Fixed cost behaviour — B and D

Rule. The word 'total' or 'per unit' decides every cost-behaviour question.

Target word. TOTAL vs PER UNIT **Decides.** Fixed: total constant, per-unit falls. Variable: per-unit constant, total rises.

Camouflage, struck. —

A	inverted operation	Total variable costs stay the same
B	KEY	Fixed cost per unit falls
C	inverted operation	Variable cost per unit falls
D	KEY	Total fixed costs stay the same

74. Break-even in units — C

Rule. BE units = fixed costs ÷ (price – variable cost).

Target word. BREAK-EVEN units **Decides.** Fixed ÷ CM per unit: 216,000 ÷ 18.

Camouflage, struck. ~~last year's volume · target profit~~

A	inverted operation	4,800
B	wrong stem number	15,000
C	KEY	12,000
D	inverted operation	8,000

4,800 divides by price. 8,000 divides by variable cost. 15,000 is a stem number.

75. Break-even in revenue — A

Rule. At break-even, revenue = total costs, and contribution margin = fixed costs.

Target word. break-even · revenue equals **Decides.** Zero profit means revenue covers every cost.

Camouflage, struck. —

A	KEY	Total fixed plus total variable costs
B	adjacent category	Contribution margin
C	dropped element	Total variable costs
D	dropped element	Total fixed costs

76. Reading a CVP graph — C

Rule. Identify the line before reading the number. Fixed is flat; total cost starts at fixed; revenue starts at zero.

Target word. which LINE · 300 units **Decides.** Total-cost line at 300: $3,000 + 10 \times 300$.

Camouflage, struck. —

A	adjacent category	Fixed costs equal \$6,000
B	adjacent category	Sales revenue equals \$6,000
C	KEY	Total costs equal \$6,000
D	dropped element	Profit equals \$4,500

\$6,000 is on the total-cost line, not revenue (\$7,500). Fixed is \$3,000 everywhere. \$4,500 is revenue minus fixed only; profit is \$1,500.

77. CVP graph — transfer — A

Rule. Break-even is the crossing of total revenue and total cost.

Target word. break-even · units **Decides.** Where the lines cross: $3,000 \div (25 - 10)$.

Camouflage, struck. —

A	KEY	200 units
B	inverted operation	300 units
C	adjacent category	\$5,000
D	inverted operation	120 units

120 divides by price. 300 divides by variable cost. \$5,000 is the revenue at break-even — right point, wrong unit.

Competency 9 · Credit and cash budgeting

78. Credit policy and bad debt — B

Rule. Looser credit → more bad debt; tighter credit and discounts do not raise it.

Target word. cause an INCREASE **Decides.** Which change lets weaker customers borrow more?

Camouflage, struck. —

A	inverted operation	Requiring a credit check before opening an account
B	KEY	Raising credit limits for every customer
C	adjacent category	Offering 2/10, n/30 on all credit sales
D	inverted operation	Shortening terms from net 60 to net 30

79. Cash collections budget — D

Rule. Build the schedule: cash sales + this month's credit × 50% + last month's × 35% + two months ago × 15%.

Target word. JUNE collections **Decides.** $165,000 + 67,500 + 37,800 + 12,150$.

Camouflage, struck. —

A	dropped element	\$232,500
B	wrong stem number	\$300,000
C	dropped element	\$270,300
D	KEY	\$282,450

\$232,500 drops both prior months. \$270,300 drops April. \$300,000 is June sales.

80. Purchases payment budget — B

Rule. Which month is being paid, and for which purchases.

Target word. MAY disbursements **Decides.** $13,050 + 6,300 + 6,500$.

Camouflage, struck. —

A	dropped element	\$19,350
B	KEY	\$25,850
C	adjacent category	\$28,800
D	wrong stem number	\$29,000

\$28,800 is June's disbursement. \$19,350 drops March. \$29,000 is May purchases.

81. Cash disbursements in a window — B

Rule. Check the boundary months: what slips past the window.

Target word. in 2014 **Decides.** Total \$740,000 minus what falls in 2015: Dec 50% (\$20,000) + Nov 15% (\$36,000).

Camouflage, struck. —

A	wrong stem number	\$740,000
B	KEY	\$684,000
C	dropped element	\$720,000
D	dropped element	\$664,000

\$740,000 ignores the window. \$720,000 defers only December. \$664,000 over-defers.

Part C — Triage

Sort every item by the two marks you made. Write item numbers in the cells.

	Right	Wrong
Sure	Owned. Bank it.	Concept inversion. Top priority. Say the rule aloud; redo the transfer item tomorrow.
Unsure	Recognition, not mastery. Redo from the rule, not the memory.	Not learned. Read the rule, then the transfer item.
Guess	Luck. Treat as not learned.	Not learned.

Mold tally. Count how many of your misses carry each label in Part B: dropped element ____ · wrong stem number ____ · adjacent category ____ · inverted operation ____ · absolute language ____ · confusion set ____ · camouflage ____ . The largest number is the pattern to drill.

Part Three — The Fail Fast OA Strategies

From the post-assessment coaching report for the objective assessment. Two attempts, both **Approaching Competency**; each 69 questions in 69 minutes, site proctored. The report names five competency areas, each with its weight, a status, and the topics it marked Suggested Study. That is enough to aim every remaining hour.

1 · What the report says

Area	Weight	May 20, 2025	July 10, 2025	Topics marked Suggested Study
Financial Analysis	51%	Approaching competence	Approaching competence	Overview of Financial Statements — May 20 Introduction to Financial Statement Analysis — July 10 The Nature and Purpose of Accounting — July 10 The Income Statement — both attempts The Statement of Cash Flows — both attempts The Balance Sheet — both attempts
Controls and Regulations	10%	Exemplary	Approaching competence	Internal Controls — July 10
Cost Systems	26%	Competent	Approaching competence	Managerial Accounting and Cost Concepts — May 20 Activity-Based Costing — July 10
Profit Planning	7%	Approaching competence	Approaching competence	Cost-Volume-Profit Analysis — both attempts
Budgeting	6%	Competent	Unsatisfactory	Cash Budgeting — July 10

Overall, both attempts: Approaching Competency. Topics not marked Suggested Study on an attempt showed only Review.

2 · Read it with the gap lenses

With results across attempts, every area falls under one of the lenses:

Lens	What it looks like here	Areas
OA → OA · durable gap	The same area fails across real attempts. Stable and fixable — the model is wrong the same way twice.	Financial Analysis (income statement, cash flows, balance sheet flagged both times) · Profit Planning (CVP flagged both times)
Owned, then lost · shallow mastery	Right on one attempt, wrong on the next under the same conditions. Recognition, not a model. Treat as not owned.	Controls and Regulations (Exemplary → Approaching) · Cost Systems (Competent → Approaching) · Budgeting (Competent → Unsatisfactory)
PA → OA · transfer failure	Passed the practice, regressed on the real exam. Usually recognition of reused items.	The pre-assessment was passed on attempt 3 while the objective assessment reads Approaching — the reason Part Two drills disguise, not content.

3 · Where the PA misses land on the OA map

Each drill competency sits under one area of the report. The misses from the pre-assessment, and the drill items that re-arm them:

OA area (weight)	Drill competencies	PA misses	Drill items
Financial Analysis (51%)	Competency 1 · The accounting environment and the statements Competency 2 · Ratios and analysis Competency 3 · Transactions and accrual Competency 4 · The statement of cash flows	Q9, Q15, Q16, Q28, Q33	1-40 (40 items)
Controls and Regulations (10%)	Competency 5 · Controls, fraud and oversight	Q38	41-48 (8 items)
Cost Systems (26%)	Competency 6 · Management accounting and cost classification Competency 7 · Activity-based costing	Q44, Q48, Q51, Q55	49-69 (21 items)
Profit Planning (7%)	Competency 8 · Cost-volume-profit	Q60, Q65	70-77 (8 items)
Budgeting (6%)	Competency 9 · Credit and cash budgeting	none	78-81 (4 items)

4 · The leverage order

Leverage = weight × gap × how fast the points come. Foundational topics get extra weight because fixing them pays across areas. The reasoning is shown so it can be challenged — and the order changes the moment your drill results contradict it.

	Area	Why here
1	Financial Analysis	Half the exam (51%). Approaching competence on both attempts, and three topics — the income statement, the statement of cash flows and the balance sheet — carried Suggested Study both times: the durable-gap signature. Foundational: the statements feed ratios, cash flows and budgeting. Four PA misses sit here.
2	Profit Planning (CVP)	7%, but Approaching on both attempts with Cost-Volume-Profit Analysis flagged both times — durable. Formula-driven, so the points come fast: one ladder (CM → break-even → target) and one graph rule. Two PA misses sit here, both with transfer items.
3	Cost Systems	A quarter of the exam (26%). Competent on May 20, Approaching on July 10 — owned, then lost: a recognition signature, not a durable model. The flagged topic moved (cost concepts first, activity-based costing second). Four PA misses sit here — the largest cluster after Financial Analysis.
4	Budgeting	6%. Competent, then Unsatisfactory — the steepest drop in the report. Pure arithmetic under stated terms, so highly tractable: collections, disbursements, the cash budget, the boundary month. No PA misses here; the risk is the swing, not the model.
5	Controls and Regulations	10%. Exemplary, then Approaching. Definitional, no math: who does what, which law, and the absolute word. One PA miss sits here. Fast to lock with the reflex: body, law, absolute word.

5 · The rules by area

Principles first. Read each row, name the trap, then stop. Status: **owned** — bank it · **lock it** — run the rule deliberately · **survived rewording** — say the rule aloud first. In the examples, the camouflage is struck.

Financial Analysis — half the exam

Topic	Rule	Trap	Example → answer
Statements & purpose owned	Balance sheet = a date. Income & cash flow = a period. Methods and policies live in the notes.	Hunting a disclosure on the face of a statement.	Position at a date; where is the depreciation method? → Balance sheet, in the notes
Accounting equation lock it	E = A – L. Long-term = total – current. Read the target word before touching a number.	Adding A and L; stopping at a subtotal.	A 300k, L 220k, current assets 40k → equity = 80,000
Revenue & equity survived rewording	Revenue is earned, not collected. It raises assets and equity — never a liability.	The word owes → liability. Will pay → waiting for cash.	10k of services in June, paid in July → assets + equity up 10k in June

Topic	Rule	Trap	Example → answer
Matching & proration survived rewording	Expense only the months used: $\text{cost} \times \text{months} \div 12$.	Computing depreciation because equipment is in the stem.	6,000 policy paid May 1, equipment 500k / 5 yrs , YE Dec 31 → 4,000 ($\times 8/12$)
Which statement? survived rewording	Revenue, expense, gain, loss → income statement. A, L, E → balance sheet.	Over-inclusion — it "sounds financial."	Pick the IS items: Sales rev · AR · COGS · Retained earnings → Sales revenue + COGS
Ratios by purpose lock it	Liquidity = current ÷ current. Solvency = D/E. Profitability = ROE. Valuation = P/E.	A total where a current figure belongs; inverted fraction.	CA 50k, CL 25k, total assets 200k → current ratio 2.0
Cash flows — what moved? owned	Long-term asset moved → investing. Owners or lenders → financing. Everything else → operating.	Selling equipment feels operating. Dividends paid are financing.	Sells a delivery truck for 15k cash → investing
Qualitative characteristics lock it	Losses early, gains late = conservatism. Verifiable → reliability · decision → relevance · size → materiality.	Reading conservatism as conserving something.	Books a probable loss, defers a possible gain → conservatism
Decision process order lock it	Prepare and analyze → gather → decide → implement.	Assuming you gather first.	Step immediately before gathering → analyze the problem

Cost Systems — a quarter

Topic	Rule	Trap	Example → answer
Product vs period owned	In the factory = product (DM, DL, MOH). Sold or office = period.	Calling a cost product because it is large or says salary.	Lumber · factory supervisor salary · sales commissions · factory utilities → period = sales commissions
Cost of goods sold lock it	÷ units produced, × units sold. Unsold sits in inventory, an asset.	Using the same unit count twice.	60k total cost, 10,000 produced , 8,000 sold → 48,000
Overhead applied lock it	Predetermined rate × actual activity.	Applying to budgeted activity — the seductive word.	\$5/machine-hour set on budget 10,000 , actual 12,000 → 60,000
Activity-based costing survived rewording	Classify by how often it happens: unit · batch · product line · facility.	Machine pulling to unit-level; production pulling to product-level.	Setup cost each time a run begins → batch-level

Profit Planning (CVP)

Topic	Rule	Trap	Example → answer
The CVP ladder owned	CM = price – variable. Break-even units = fixed ÷ CM. Target = (fixed + profit) ÷ CM.	Dividing fixed by price or by variable cost.	80 / 50 / fixed 150k → 5,000 units (CM 30)
Reading the graph survived rewording	Left of the crossing = loss; the gap between the lines is the amount. Read tick marks, not slopes.	Assuming the top line is revenue.	Lines cross at 4,000 ; at 3,000 units the firm → incurs a loss

Budgeting

Topic	Rule	Trap	Example → answer
Collections & payments lock it	This month × current rate + last month × lag rate.	Flipping the rates; forgetting the lag.	Jun 50k, Jul 80k, 60% / 40% → July collections 68,000
The cash budget lock it	Begin + receipts – disbursements = cash before financing. Borrow up to the minimum, not to zero.	Borrowing only the shortfall to zero. Minus a negative adds.	10 + 60 – 75, minimum 8 → borrow 13,000

Topic	Rule	Trap	Example → answer
Pro-forma percentages survived rewording	Undo an increase: divide by (1 + rate). Apply one: multiply.	Multiplying to reverse. Inverse pairs are always the bait.	330k is +10% over this year → this year = 300,000
Credit policy lock it	Bad debt is driven by credit limits and standards — who qualifies.	Reaching for payment terms: discounts, net days.	Which raises bad debt? 2% discount vs → extending credit to lower-rated customers

Controls & Regulations — definitional, no math

Topic	Rule	Trap	Example → answer
Who does what owned	S → Standards → FASB. A → Audits auditors → PCAOB. Oversees/regulates = a body; governs/was passed = a law.	FASB ↔ PCAOB and SEC ↔ SOX look-alikes.	Who establishes GAAP? SEC oversees but delegates → FASB
Which law lock it	Scandals → Sarbanes-Oxley (2002). Downturn → Dodd-Frank (2010).	Swapping the two crises.	Created the PCAOB after accounting scandals → Sarbanes-Oxley
Internal control owned	Reasonable, never absolute assurance. Duties split: custody · recording · reconciliation.	Anything with guarantee, eliminate, always, never.	Who records ≠ who deposits → segregation of duties

6 • The six through-lines, on the day

1. **Read the target word.** Equity or long-term · product or period · produced or sold · this month or last. The word picks the operation.
2. **Principle before arithmetic.** Say the rule in a sentence, then compute. Backing into numbers fails under pressure.
3. **Camouflage.** Ask what single fact decides this, then ignore the rest — especially impressive numbers from another question.
4. **Inverse pairs are the bait.** $\times / \div$ and $+$ $-$. If one is an answer choice, the other is the trap.
5. **Sure-and-wrong beats a lucky guess.** Fix the model, not the pace. Clusters cascade: one miss, slow down for the next three.
6. **Absolutes are wrong; recognition is not mastery.** Guarantee, never, always, eliminate. Familiar still has to pass the rule.

7 • Test-day protocol

1. Calculator AOS, decimals floating — before question one.
2. Read the last line of the stem first (the question), then the data.
3. Say the rule → compute → name the trap you rejected.
4. Mark sure / unsure and move. Pace check at halfway.
5. Reflexes: Controls → body, law, absolute word. Cash flow → what moved. CVP → CM first.

8 • The calculator, set once at the start

- Turn on order-of-operations (AOS). By default the BA II Plus is in Chn (chain) mode, which goes strictly left-to-right — it will get " $a \times b + c \times d$ " collections problems wrong. Set AOS: 2ND FORMAT ↓ ↓ ↓ ↓ then 2ND SET until the screen shows AOS, then 2ND QUIT.
- Set decimals to floating so nothing rounds mid-problem: 2ND FORMAT 9 ENTER 2ND QUIT.
- Clear between problems: press CE|C twice. To make a number negative, use the +/- key.
- You will not need the finance keys (N, I/Y, PV, PMT, FV, CF, NPV) — this course is plain arithmetic. Ignore them.
- Chn-safe fallback (if you ever forget to set AOS): for $a \times b + c \times d$, compute each product with = first, then add the two results.

Compendium

1 · Study plan — PA → drill → OA

	Stage	What to do
1	Take the pre-assessment early, out loud	Run the think-aloud protocol: number, concept, answer, confidence for every item. Uncoached. Fail fast — the point is the result, not the score.
2	Pull the report and sort it	Reshuffle the options, mark every miss, classify each by error type, and drop every item into the four-way triage. Sure-and-wrong goes to the top.
3	Read the anchor rows	Part One, section 7: one row per concept — rule · trap · the tell. Read what you selected and work out why. Explanations are not the deliverable; your reasoning is.
4	Run the drill on paper	Part Two, all 81 items, in one sitting if you can. Fill the strategy strip before reading the options. Mark confidence on every item.
5	Grade in Part B; triage in Part C	Name the mold on every miss. Fill the triage grid and the mold tally. The largest tally is the pattern to drill.
6	Re-arm the dangerous ones	Every sure-and-wrong: say the rule aloud, then redo its transfer item the next day. Every unsure-and-right: redo from the rule, not the memory.
7	Aim the rest by OA leverage	Part Three, section 4: spend remaining time in leverage order, not weight order. Update the order the moment your drill results contradict it.
8	Last pass	Part Three, section 5: the rule rows, top to bottom — read each row, name the trap, then stop. Set the calculator. Run the test-day protocol.
9	After the objective assessment	Pull the new coaching report, add its column to the table in Part Three, section 1, and re-apply the gap lenses. Durable gaps first.

2 · Glossary — every concept and its rule

Alphabetical. The rule is the one the drill's key uses.

Term	Rule
ABC allocation	Rate per pool × that product's consumption of that pool, summed.
ABC allocation	Same method; track the row.
ABC hierarchy	Unit (each item) · batch (each run) · product (each line) · facility (the plant).
Accounting equation	Long-term = total – current, on the same side of the equation.
Accrual — expense timing	Under accrual, expense follows the event, not the cash.
Balance sheet	The balance sheet shows debt (liabilities) and ownership (equity) at a date.
Break-even in revenue	At break-even, revenue = total costs, and contribution margin = fixed costs.
Break-even in units	BE units = fixed costs ÷ (price – variable cost).
Cash collections budget	Build the schedule: cash sales + this month's credit × 50% + last month's × 35% + two months ago × 15%.
Cash disbursements in a window	Check the boundary months: what slips past the window.
Cash flow adequacy	Adequacy above 1 means operating cash covers commitments; a cow is well above 1.
Cash flow categories	Operating · investing · financing. Nothing else.
Cash times interest earned	Cash times interest earned = cash before interest and taxes ÷ cash paid for interest.
Contribution margin and operating income	Sales – variable = contribution margin; – fixed = operating income.
Cost driver	A cost driver is the activity that causes the cost and varies with the cost object.
Cost of goods sold from production	COGS = (total product cost ÷ units produced) × units sold.
Cost-volume-profit	CVP studies cost behaviour and the volume-profit relationship, including break-even.

Term	Rule
Credit policy and bad debt	Looser credit → more bad debt; tighter credit and discounts do not raise it.
Debt ratio	Debt ratio = total liabilities ÷ total assets; the remainder is equity's share.
Decision cycle	Statements are the starting input, not the output. Gathering comes after analysis in this cycle.
Differential cost	Differential = future and different. Sunk and unchanged costs are ignored.
Direct vs indirect method	Direct lists receipts and payments; indirect starts from net income. Same operating total.
Drivers of change	Information technology has changed accounting practice more than any other force.
Earnings manipulation	Manipulation motives: bonus targets, loan covenants, internal goals, analyst forecasts.
Errors vs fraud	An error is unintentional; fraud is deliberate.
Ethical standards	Ethical standards govern internal reporting too: competence, confidentiality, integrity, credibility.
External audit	An audit gives reasonable assurance of fair presentation — never a guarantee.
Financing activities	Financing = cash to and from owners and lenders: stock, dividends, buybacks, principal.
Financing — investors	Cash from owners is financing, whatever the word 'investor' suggests.
Fixed cost behaviour	The word 'total' or 'per unit' decides every cost-behaviour question.
GAAP	Following GAAP makes a company comparable to others; it does not lower tax or raise assets.
Gross profit	Gross profit = sales – cost of goods sold. Nothing below that line touches it.
Internal auditors	Internal audit tests controls and compliance; external audit issues the opinion; FASB sets standards.
Internal control — receiving	Three-way match prevents paying for goods not received.
Inventory cost	Inventoriable cost = product cost.
Investing activities	Investing = long-term assets bought or sold.
Long-term liabilities	Long-term = due after one year (or the operating cycle). The current portion of long-term debt is current.
Management accounting	Management accounting serves internal decisions with financial and non-financial data.
Management vs financial accounting	Management accounting: internal, future-oriented, unaudited, includes non-financial. Financial accounting: external, historical, GAAP.
Manufacturing balance sheet	Manufacturers carry raw materials, work in process and finished goods; merchandisers carry merchandise inventory.
Multi-step income statement	Multi-step shows gross profit and operating income as subtotals.
Net income	Expenses and ordinary gains/losses affect income; dividends, contributions and buybacks are equity transactions.
Notes to the statements	Significant accounting policies are disclosed in the notes.
Operating cash flow	Operating = customer receipts – operating payments, and under US GAAP interest paid is operating.
Overhead application	Applied overhead = predetermined rate × actual activity.
Owners' equity	Owners' equity is the residual interest in net assets after liabilities.
PCAOB	The PCAOB regulates audits of public companies; FASB sets standards; the IRS collects tax.
Period costs	Period costs = selling and administrative; product costs = materials, labour, factory overhead.
Period vs product cost	Direct material + direct labour + factory overhead = product. Selling and admin = period.
Prepaid expense	Paid in advance = an asset until the benefit is consumed.

Term	Rule
Prepaid expense over time	Expense the months actually covered in the period.
Price-earnings ratio	$PE = \text{price per share} \div \text{earnings per share}$.
Pro-forma growth	$\text{Base} = \text{projection} \div (1 + \text{growth})$.
Product cost total	$\text{Product cost} = \text{direct materials} + \text{direct labour} + \text{manufacturing overhead}$.
Purchases payment budget	Which month is being paid, and for which purchases.
Purpose of accounting	Accounting reports the financial performance and position of a business.
Qualitative characteristics	Materiality = too small to matter · Conservatism = losses early, gains late · Verifiability = independent agreement · Relevance = changes a decision.
Reading a CVP graph	Identify the line before reading the number. Fixed is flat; total cost starts at fixed; revenue starts at zero.
Revenue on account	Delivered on credit: receivable up by the unpaid part, equity up by the whole revenue.
Revenue recognition	Revenue is recognised when earned, not when cash moves or a contract is signed.
Sale of equipment	Proceeds from selling equipment are investing inflows; the gain is removed from operating so it isn't counted twice.
SEC	SEC = regulates public-company reporting and enforces securities law.
SOX — audit firms	SOX for auditors: partner rotation, banned consulting services, PCAOB registration.
SOX — management	SOX for management: certify the statements (302), report on internal controls (404).
Statement of cash flows	The statement of cash flows summarises cash by operating, investing and financing activity over a period.
Transaction analysis	$\text{Assets acquired} = \text{cash given} + \text{liability created}$. Equity is untouched by a purchase.
Users of financial statements	Employees and their representatives care about the firm's ability to fund pay and benefits.
Using ABC results	When ABC raises a product's cost above its price, the price or the product has to change.
When ABC fits	ABC pays off when products consume overhead activities in different proportions.

3 · Concept index

Concept → pre-assessment question → drill item numbers (transfer items included).

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4 • Answer key at a glance

For a fast re-grade. The full dissection is in Part Two, Part B. ■ = a concept missed on attempt 3; T = transfer item.

1 D	2 C	3 B	4 D	5 D	6 C	7 C/D	8 A	9 B ■
10 C T	11 D	12 C	13 D	14 A	15 D	16 A ■	17 A T	18 D ■
19 B T	20 A	21 A	22 B/D	23 B	24 A	25 B	26 D	27 A/D
28 C/D	29 B	30 A	31 C/D ■	32 A T	33 A	34 C	35 C	36 A
37 A ■	38 C T	39 C	40 B	41 B/C	42 B	43 B/D ■	44 A T	45 C/D
46 B/C	47 A/D	48 A	49 B/C	50 C ■	51 B T	52 A	53 D	54 C/D
55 A/D ■	56 B/C T	57 D	58 D	59 C ■	60 B T	61 B/D	62 D	63 B
64 C ■	65 C T	66 C	67 D	68 B	69 C	70 C ■	71 D T	72 B/C

73 B/D	74 C	75 A	76 C I	77 A T	78 B	79 D	80 B	81 B
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Key distribution: A 20 · B 24 · C 27 · D 27 (17 items are choose-2).

5 · Mold reference

Mold	The error it encodes	In the drill
dropped element	Omits a required term — a cost, a step, a month.	28
wrong stem number	A figure copied straight from the prompt that isn't the answer.	12
adjacent category	The right idea applied to the wrong bucket — the classic near-miss.	99
inverted operation	Added instead of subtracted, produced vs. sold, a rate or price direction flipped.	45
absolute language	"Guarantee", "never", "always", "ensure" — usually wrong where the concept is reasonable assurance or judgment.	6
confusion set	Every option is a real entity — a body, a law, a ratio, a method; the test is exact role-matching.	27
answers the camouflage	The option that answers a fact in the stem that was never the question.	9

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